

Contemporary Societies Series

Jeffrey C. Alexander, Series Editor

Andrew Abbott *Methods of Discovery: Heuristics for the Social Sciences*

Arne Kalleberg *The Mismatched Worker*

Judith Lorber *Breaking the Bowls: Gender Theory and Feminist Change*

Douglas Massey *Strangers in a Strange Land: Humans in an
Urbanizing World*

Saskia Sassen *A Sociology of Globalization*

Michael Schudson *The Sociology of News*

Steven Seidman *The Social Construction of Sexuality*

Bryan Turner *The New Medical Sociology: Social Forms of Health
and Illness*

Forthcoming

Craig Calhoun *The Public Sphere*

Michael J. Shanahan and Ross Macmillan *Biography and the
Sociological Imagination: Contexts and Contingencies*

David Snow and Sarah Soule *A Primer on Social Movements*

A SOCIOLOGY OF GLOBALIZATION

Saskia Sassen
COLUMBIA UNIVERSITY



2007

global city 13/22/12
new type of state authority ??
Tubin 6 12

CONTEMPORARY SOCIETIES
Jeffrey C. Alexander
SERIES EDITOR

267270



W. W. NORTON & COMPANY NEW YORK LONDON

CONTENTS

W. W. Norton & Company has been independent since its founding in 1923, when William Warder Norton and Mary D. Herter Norton first published lectures delivered at the People's Institute, the adult education division of New York City's Cooper Union. The Nortons soon expanded their program beyond the Institute, publishing books by celebrated academics from America and abroad. By mid-century, the two major pillars of Norton's publishing program—trade books and college texts—were firmly established. In the 1950s, the Norton family transferred control of the company to its employees, and today—with a staff of four hundred and a comparable number of trade, college, and professional titles published each year—W. W. Norton & Company stands as the largest and oldest publishing house owned wholly by its employees.

Copyright © 2007 by W. W. Norton & Company, Inc.

All rights reserved.
Printed in the United States of America.
First Edition.

Composition by PennSer, Inc.
Manufacturing by Quebecor World—Fairfield Division.
Production manager: Jane Searle.
Series design by Beth Tondreau Design.

Library of Congress Cataloging-in-Publication Data
Sassen, Saskia.
Sociology of globalization / Saskia Sassen.
p. cm. — (Contemporary societies)
Includes bibliographical references and index.

ISBN 13: 978-0-393-92726-9 (pbk.)

ISBN 10: 0-393-92726-1 (pbk.)

1. Globalization—Social aspects. I. Title. II. Series.

JZ1318.S28 2006
303.48'2—dc22

2006040138

W. W. Norton & Company, Inc., 500 Fifth Avenue, New York, NY 10110-0017
www.wwnorton.com

W. W. Norton & Company Ltd., Castle House,
75/76 Wells Street, London W1T 3QT

1 2 3 4 5 6 7 8 9 0

PREFACE	vii
CHAPTER ONE Introduction	3
CHAPTER TWO Elements of a Sociology of Globalization	11
CHAPTER THREE The State Confronts the Global Economy and Digital Networks	45
CHAPTER FOUR The Global City: Recovering Place and Social Practices	97
CHAPTER FIVE The Making of International Migrations	129
CHAPTER SIX Emergent Global Classes	164
CHAPTER SEVEN Local Actors in Global Politics	190
CHAPTER EIGHT Emergent Global Formations and Research Agendas	213
NOTES	241
REFERENCES	261
INDEX	297

core issues of a sociology of globalization. Chapters Three through Seven do this by addressing the state, cities, migrations, and emergent global classes. Those are core categories in sociology. The scholarship discussed in those chapters helps us explore different types of research and theorization practices in the study of the global.

Chapter Two

ELEMENTS OF A SOCIOLOGY OF GLOBALIZATION

THIS CHAPTER DEVELOPS the theoretical and methodological elements of a more sociological study of the globalizing and denationalizing dynamics introduced in Chapter One. Critical among these elements are questions of place and scale. The global is generally conceptualized as overriding or neutralizing place and as operating on a self-evidently global scale. A focus on places, scales, and diverse meanings of the national helps us explore types of research and theorization practices not usually included in the study of the global. Furthermore, studying global processes in terms of these three elements touches on traditional objects of study in sociology: social structures, practices, and institutions. In later chapters, I examine how sociology provides a variety of concepts and methodological tools for apprehending the complexity and diversity of globalization as constituted by specific empirical referents, notably cities and states. Yet while particular attention is given to a sociological perspective, the questions addressed in this chapter are clearly not confined to sociology. Constructing the object of study in this type of effort often means operating at the intersection of multiple disciplinary forms of knowledge and techniques for research and interpretation.

Global formations may have existed for centuries. Sociolo-

gists have made some of the most important contributions to the study and theorization of such formations (Abu-Lughod 1989; Arrighi 1994; King 1990; Wallerstein 1974). Their character has varied across time and space. So today we can identify novel formations or novel traits in old formations, and sociologists have made some significant contributions to their study (Albrow 1996; Sklair 1991; Robinson 2004). Today's global formations are diverse both as social forms and as normative orders. For instance, as social forms the global capital market and the international human rights regime are starkly different, and so are their normative orders. For social scientists the research agenda consists largely of exploring this diversity, to capture the differences rather than only show the parallels. Capturing the specificity and variability of global formations makes for richer and more complex research findings. It also contributes to a more sociological perspective insofar as the aim is to capture different patterns of social relations. Thus many of the emerging global formations are partially or completely novel institutional orders or systems of relations. Further, institutionalized forms will tend to have distinct subcultures, formal and informal rules, regulatory regimes, assemblages of social actors, and power logics.

Each of the four sections of this chapter is concerned with identifying critical dynamics for understanding globalization sociologically. Thus each one focuses on a rather sharply defined instance of the challenge that today's global dynamics present to social science research. Each is, then, an opportunity to explore theoretical and methodological questions. In their aggregate these sections do not cover all the questions that need to be raised but rather get at some of the foundational ones.

The first section develops the notion of scalar hierarchies. It considers the traditional scalar hierarchy, which is centered on the nation-state, and focuses on its current destabilizing under the impact of novel dynamics and technologies. It uses this destabilizing effect as one window on the question of what is different today. Taking off from this view, the second section examines the meaning of the subnational in a global, partially digital world. The third section carries this view further to examine how subnational entities can exit the nested hierarchies organized around the national state and its role as the supposedly exclusive actor in international relations. The focus here is on the networks that connect cities across borders and can increasingly bypass national states. This holds especially for global cities, of which there are about forty in the world. These networks constitute one of the critical global formations today, as they include a rapidly growing range of actors and activities, including such diverse cases as the global network of a firm's affiliates, transnational migrant networks, and international terrorist networks. This type of focus helps open up the analysis to the possibility that subnational levels might matter to the process of constituting global social forms. It gives us an analytic bridge between the global scale, still an elusive notion, and the more familiar concept of the local in terms of the city or the immigrant community, for example. And it has the effect of disaggregating the global into particular cross-border circuits connecting specific localities, thereby partially bringing the vague notion of the global to the more concrete notion of networks of places.

The fourth section considers the implications that this articulation of the global in and through the national and the sub-

national has for national states. This consideration expands the analytic terrain for understanding the global by showing it to be partially constituted through the denationalizing of particular components of what have been constructed as national territories and institutional domains. Thereby we open up the national—a key sociological concept—for research on globalization. The national state is clearly a key actor and an institutional order at play in these articulations of the global with the national and the subnational.

THE DESTABILIZING OF OLDER HIERARCHIES OF SCALE

Global processes and formations can be, and are, destabilizing the scalar hierarchy centered in the national state. Previously the formation of the national state destabilized older hierarchies of scale, which typically were constituted through the practices and power projects of past eras, such as the colonial empires of the sixteenth and subsequent centuries and the medieval towns that dominated long-distance trading in certain parts of Europe in the fourteenth century. Most notable today is what is sometimes seen as a return to older imperial spatialities for the economic operations of the most powerful actors: the formation of a global market for capital, a global trade regime, and the internationalization of manufacturing production. It is of course not simply a return to older forms. It is crucial to recognize the specificity of today's practices and the capabilities enabling them. This specificity is in part a result of the fact that today's transboundary spatialities have to be produced in a context in which most territory is encased in a thick and highly formalized national framework marked by the exclusive authority of the national state. The preeminence of the national

scale and of the exclusive authority of the state over its territory is, in my reading, one of the key contexts for understanding the specificity of the current phase of globalization. This preeminence of the national brings with it a necessary participation of national states in the formation of global systems (Sassen 1996, chaps. 1 and 2; 2006a).¹

The global project of powerful firms, the new technical capabilities associated with information and communications technologies (ICTs), and the growth of supranational components in state work are beginning to constitute strategic scalings beyond that of the national. Among these are subnational scales such as the global city and supranational scales such as global markets. These processes and practices partially destabilize the scale hierarchies that expressed the power relations and political economy of an earlier period. These were—and, to a large extent, continue to be—organized in terms of institutional size and territorial scope: from the international down to the national, the regional, the urban, and the local, with the national functioning as the articulator of this particular configuration. That is, the crucial practices and institutional arrangements that constituted the system occurred at the national level. Notwithstanding different origins and starting times around the world, the history of the modern state can be read as the work of rendering national just about all crucial features of society: authority, identity, territory, security, law, and market. Periods preceding those of the ascendancy of the national state saw rather different types of scalings, with territories typically subject to multiple systems of rule rather than to the exclusive authority of a state.

Today's rescaling dynamics cut across institutional size and

the institutional encasements of territory produced by the formation of national states. This rescaling does not mean that the old hierarchies disappear but rather that novel scalings emerge alongside the old ones and that the former can often trump the latter. Older hierarchies of scale constituted as part of the development of the nation-state continue to operate, but they do so in a far less exclusive field than they did in the recent past. This holds even when we factor in the hegemonic power of a few states, which meant—and continues to mean—that most national states were not—and still are not—fully sovereign in practice.

Existing theory is not enough to map today's multiplication of practices and actors contributing to these rescalings. Included are a variety of nonstate actors and forms of cross-border cooperation and conflict, such as global business networks, the new cosmopolitanism, nongovernmental organizations (NGOs), diasporic networks, and such spaces as global cities and transboundary public spheres. IR theory is the field that to date has had the most to say about cross-border relations. But current developments associated with various mixes of globalization and the new ICTs point to the limits of IR theory and data. Several critical scholars (Taylor 2000; Cerny 2000; Ferguson and Jones 2002; Rodney Brace Hall and Thomas J. Biersteker 2002; Walker 1993) have shown us how the models and theories of IR remain focused on the logic of relationships between states and the scale of the state at a time when we see a proliferation of nonstate actors, cross-border processes, and associated changes in the scope, exclusivity, and competence of state authority over its territory. Theoretical developments in other disciplines may prove important. Especially relevant, as I men-

tioned above, is geography and its contributions to critical analyses of scale, unlike other social sciences, which tend to take scale as a given and the national scale as a naturalized condition.

A second feature is the multiscale character of various globalization processes. A financial center in a global city is a local entity that is also part of a globally scaled electronic market. We might think of this as an instance in which the local is multiscale. Obversely, the WTO is a global entity that becomes active once it is inserted into national economies and politics and can thus be perceived of as an instance in which the global is multiscale. These instances cannot easily be accommodated by older nested hierarchies of scale, which position everything that is supranational above the state in the scalar hierarchy and everything that is subnational beneath the state. A more complex multiscale configuration is the new type of operational space of multinational firms: it includes as key components both far-flung networks of affiliates and concentrations of strategic functions in a single location or in a few locations (for example, Taylor, Walker, and Beaverstock 2002; Ernst 2005).² Perhaps most familiar here is again the bundle of conditions and dynamics that marks the model of the global city (Sassen 1991). In its most abstract formulation this is captured in what I see as one of the key organizing hypotheses of the global-city model—to wit, that the more globalized and the more digitized the operations of firms and markets become, the more their central management and specialized servicing functions (and the requisite infrastructures and buildings) become strategic and complex, thereby benefiting from agglomeration economies. To varying extents these

agglomeration economies are still delivered through territorial concentrations of multiple resources—that is, they are mostly delivered through cities. This variety of multiscalar dynamics points to conditions that cannot be organized as a hierarchy, let alone as a nested hierarchy. It is a multiscalar system operating across scales and not, as is so often said, merely scaling upward as a result of new communications capabilities.³

In the next section, I examine this multiscalar character that the local and the global are assuming. I do so by focusing in particular on subnational instances, as those are less familiar than explicitly global formations and, furthermore, lend themselves especially well to sociological studies.

THE SUBNATIONAL: A SITE FOR GLOBALIZATION

Studying the global, then, entails a focus not only on that which is explicitly global in scale but also on locally scaled practices and conditions that are articulated with global dynamics. And it calls for a focus on the multiplication of cross-border connections among localities in which certain conditions recur: human rights abuses, environmental damage, mobilization around certain struggles, and so on. Furthermore, it entails recognizing that many of the globally scaled dynamics, such as the global capital market, are actually partially embedded in subnational sites (financial centers) and move between these differently scaled practices and organizational forms. For instance, the global capital market is constituted through both electronic markets with a global span and locally embedded conditions—that is, financial centers and all they entail, from infrastructure to systems of trust.

A focus on such subnationally based processes and dynamics

of globalization requires methodologies and theorizations that engage not only global scalings but also subnational scalings as components of global processes. This juxtaposition has the effect of conceptually destabilizing the mostly implicit model of a state-centered nested scalar hierarchy. Studies of global processes and conditions that are constituted subnationally have some advantages over studies of globally scaled dynamics, but they also pose specific challenges. They make possible the use of long-standing quantitative and qualitative research techniques in the study of globalization. They provide a bridge for using the wealth of national and subnational data sets as well as specialized scholarship, such as that of area studies. As indicated earlier, however, both sub- and supranational studies need to be situated in conceptual architectures that are not quite those held by the researchers who generated these research techniques and data sets, as their efforts for the most part had little to do with globalization.

One central task we face is decoding particular aspects of what is still represented or experienced as national, which may in fact have shifted away from what historically has been considered or constituted as national. This task, then, is in many ways a research and theorization logic that is the same as that developed in studies of the global city. But whereas today we have come to recognize and code a variety of components of global cities as part of the global, this categorization does not hold for a growing number of other subnational domains we should include in the globalization research agenda. In this book I focus on a range of globalizing or denationalizing dynamics that are still coded and represented as local and national.

Three instances serve to illustrate some of the conceptual, methodological, and empirical issues in this type of study. The first one concerns the role of place in many of the circuits that constitute economic and political globalization. A focus on places allows us to unbundle globalization in terms of the multiple specialized cross-border circuits on which different types of places are located. In Chapter Seven I discuss a particular version of this unbundling: the emergence of forms of globality centered on localized struggles and actors that are part of cross-border networks; this is a form of global politics that runs through local rather than global institutions.

Perhaps the most highly developed ~~scholarships on the role of place and global circuits are those on global cities and on commodity chains~~. Research on global commodity chains focuses on networks of labor and production processes whose final result is a finished commodity (Gereffi and Korzeniewicz 1994); they are constituted by sets of interorganizational networks of households, business enterprises, and particular state components, all of which share a focus on the production of a given commodity. While research on global commodity chains focuses largely on circuits, work on global cities draws attention to strategic places in the global economy. Global cities are subnational places in which multiple global circuits intersect and thereby position these cities in several structured cross-border geographies, each of which typically has a distinct scope and is constituted in terms of distinct practices and actors. For instance, at least some of the circuits connecting São Paulo to global dynamics are different from those connecting Frankfurt, Johannesburg, or Mumbai (Bombay). Furthermore, specific sets of overlapping circuits contribute to the constitution of

distinctively structured cross-border geographies. We are, for instance, seeing the intensifying of older transnational hegemonic geographies—for example, the increase in transactions among New York, Miami, Mexico City, and São Paulo (see Ramos Schiffer 2002; Parnreiter 2002)—as well as newly constituted geographies—for example, the articulation of Shanghai with a rapidly growing number of cross-border circuits (Gu and Tang 2002; Wasserstrom 2004; Rowe and Kuan 2004). This type of analysis produces a different picture of globalization from one centered on global markets, international trade, or the pertinent supranational institutions. It is not that one type of focus is better than the other but that the supranational focus—the most common by far—is not enough.

A second instance, partially connected to the first, is the role of the new interactive technologies in repositioning the local, thereby inviting us to make a critical examination of how we conceptualize the local. Through the new technologies a financial services firm becomes a microenvironment with a continuous global span. And so, too, do resource-poor organizations or households. These microenvironments can be oriented to other microenvironments located far away, thereby destabilizing the notion of context, which is often associated with that of the local and with the notion that physical proximity is one of the attributes or markers of the local. A critical reconceptualization of the local along these lines entails at least a partial rejection of the notion that local scales are inevitably part of nested hierarchies of scale running from the local to the regional, the national, and the international.

The third instance concerns a specific set of interactions between global dynamics and particular components of national

states. The crucial conditionality here is the partial embeddedness of the global in the national, of which the global city is perhaps most emblematic. My main argument is that insofar as specific structururations of the global inhabit what historically has been constructed and institutionalized as national territory, they engender a variety of negotiations between the global and the national. One set of outcomes evident today is what I describe as an incipient, highly specialized, and partial denationalization of specific components of national states.

In all three instances the question of scaling takes on a specific content. The content involves practices and dynamics that, I argue, pertain to the global yet are taking place at what historically has been constructed as the scale of the national. With few exceptions, most prominent among which is a growing scholarship in geography, the social sciences have not had critical distance—that is, have not historicized—the scale of the national. The consequence has been a tendency to take it as a fixed scale and reify it and, more generally, to neutralize the question or at best to reduce scaling to a hierarchy of size. Associated with this tendency is the often-uncritical assumption that these scales are mutually exclusive and—most pertinent for my argument here—that the scale of the national and that of the global are mutually exclusive. A qualifying variant that allows for mutual imbrications, though of a limited sort, can be seen when scaling is conceived as a nested hierarchy.⁴

Finally, the three instances described above go against the assumptions and propositions that are now often described as methodological nationalism. But they do so in a distinct way. Crucial to the critique of methodological nationalism is the need for transnationalism because the nation-as-container cate-

gory is inadequate given the proliferation of transboundary dynamics and formations (for example, Taylor 2000; Beck and Beck-Gernsheim 2001; Beck 2000; Robinson 2004). What I am focusing on here is, rather, yet another set of reasons for supporting the critique of methodological nationalism: the fact of multiple and specific structururations of the global within what has been constructed historically as national. Furthermore, I posit that because the national is highly institutionalized and thick, structururations of the global inside the national entail a partial, typically highly specialized and specific denationalization of particular components of the national.

The new networks connecting cities through a variety of activities and novel institutions are an example of a global scaling constituted through subnational places and their increasingly intense cross-border transactions.

THE CROSS-BORDER NETWORK OF GLOBAL CITIES

When economic activity becomes globalized, it partly reshapes existing orders and contributes to the formation of novel ones. It does so through the practices of economic actors (global firms and markets) and the development of particular value regimes (deregulation of the economy). Exploring these changes requires new conceptual architectures; one example is the model of the global city. As the global economy has expanded over the last two decades, we have seen the formation of a growing network of global cities, now numbering about forty, through which national economic wealth and processes have been articulated with a proliferation of global circuits for capital, investment, and trade. This network of global cities constitutes a space of power that contains the capabilities needed for

the global operations of firms and markets. It partially cuts across the old North-South divide and constitutes a geography of centrality that today also incorporates major cities of the global South even though the hierarchy in this geography of centrality is quite sharp. At its most concrete level this new geography is the terrain on which multiple globalization processes assume material and localized forms. An examination of global cities and their networks helps us understand how spatial and organizational centrality is institutionalized in the global economy (see in general Abu-Lughod 1999; Short and Kim 1999; Sachar 1990; Allen, Massey, and Pryke 1999; Matthew J. O. Scott 2001; Marcuse and Van Kempen 2000; Gugler 2004; Taylor 2004; Harvey 2007; Fujita et al. 2004).⁵

Choosing how to name a configuration has its own substantive rationality. Choosing the term *global city* (Sassen 1991; Sassen-Koob 1982, 1984) was a knowing choice. It was an attempt to name a difference: the specificity of the global as it gets structured in the contemporary city.⁶ I did not choose the obvious alternative, *world city*, because it has precisely the opposite attribute: it refers to a type of city that we have seen over the centuries (for example, Braudel 1984; Peter Hall 1966; King 1990) and most probably in much earlier periods in Asia or in European colonial centers (Gugler 2004). Most of today's major global cities are also world cities, but there may well be some global cities that are not world cities in the full, rich sense of that term. Exploring these issues is partly an empirical question; furthermore, as the global economy expands and incorporates additional cities into its various networks, it is quite possible that a growing number of global cities will not be world cities. Thus the fact that Miami developed global-city

functions beginning in the late 1980s (Nijman 1996) does not make it a world city in the older sense of the term.

I have proposed five hypotheses to help explain the importance of cities in the institutionalization of global economic processes. In the first four the effort was to qualify what was emerging in the 1980s as a dominant discourse on globalization, technology, and cities, which posited the end of cities as important economic units or scales. One tendency in that account was to take the existence of a global economic system for granted. My effort was to recover the actual work of implementing and managing a global economy and, in so doing, to recover the importance of cities for this work.

A first hypothesis was that the greater the geographic dispersal of economic activities along with their simultaneous integration through telecommunications, the greater the growth and importance of central corporate functions. The more dispersed a firm's operations across different countries, the more complex and strategic are the managing, coordinating, servicing, and financing of a firm's network of operations.

Second, the more complex these central functions become, the more likely the headquarters of large global firms "out-source" them. Headquarters buy a share of their central functions from highly specialized service firms: accounting, legal, public relations, programming, and telecommunications, among others. Thus while even ten years ago the key site for the production of these central-headquarter functions was the headquarters of a firm, today there is a second key site: the specialized firms contracted by headquarters to produce some of these central functions or components of them. This pattern is especially prevalent among firms involved in global markets

and nonroutine operations. But increasingly the headquarters of all firms are buying more such inputs rather than producing them in-house.

The third hypothesis is that the more complex and globalized a specialized service firm's markets are, the more its central functions are subject to agglomeration economies. The complexity of the services they need to produce, the uncertainty of the markets they are involved with either directly or through the headquarters for which they are producing the services, and the growing importance of speed in all these transactions, all produce a mix of conditions that constitutes a new agglomeration dynamic. The mix of firms, talent, and expertise in a broad range of specialized fields makes a certain type of urban environment function as an information center. Being in a city becomes synonymous with being in an extremely intense and dense information loop.

A fourth hypothesis, derived from the preceding one, is that the more headquarters outsource their most complex, nonstandardized functions, particularly those subject to uncertain and changing markets and speed, the freer they are to opt for any location because less of the work that is done in the headquarters is subject to agglomeration economies. Thus the key sector specifying the distinctive production advantages of global cities is the highly specialized and networked services sector.⁷

The fifth hypothesis is that insofar as these specialized service firms need to provide a global service (through a global network of affiliates or some other form of partnership) there is a strengthening of cross-border city-to-city transactions and networks. At the limit this may well be the beginning of the formation of transnational urban systems. The growth of

global markets for finance and specialized services, the need for transnational service networks due to sharp increases in international investment, the reduced role of the government in the regulation of international economic activity, and the corresponding ascendancy of other institutional arenas, notably global markets and corporate headquarters—all of these factors point to the existence of a series of transnational networks of cities. A corollary is that major business centers in the world today draw their importance from these transnational networks. There is no such entity as a single global city—and in this sense there is a sharp contrast with the erstwhile capitals of empires.

Central to these hypotheses about the organizational architecture of the global economy is the proposition that this economy contains both the capabilities for enormous geographic dispersal and mobility and pronounced territorial concentrations of resources necessary for the management and servicing of that dispersal. The management and the servicing of much of the global economic system take place in this growing network of global cities and cities or regions that are better described as having a limited number of global-city functions. The growth of global management and servicing activities has in turn brought with it a massive upgrading and expansion of central urban areas even as large portions of these cities fall deeper into poverty and experience infrastructural decay. Although this role involves only certain components of urban economies, it has contributed to a repositioning of cities both nationally and globally. The intensity of transactions among these cities, particularly through the financial markets, investment, and contracting for services, has increased sharply, and so

have the orders of magnitude involved. We can see here at least the incipient formation of transnational urban systems. To a large extent, the major business centers in the world today draw their importance from these transnational networks which, in turn, signals a division of functions.

A transnational urban system is in part an organizational structure for cross-border transactions. There have long been cross-border economic processes—flows of capital, labor, goods, raw materials, travelers—and in that sense there is nothing new about today's emerging interurban networks. But over the centuries there have been enormous fluctuations in the degree of openness or closure in the organizational forms within which these flows have taken place. In the last hundred years the interstate system came to provide the dominant organizational form for cross-border flows in much of the world, with national states as the key actors. It is this condition that began to change dramatically in the 1980s and grew rapidly in the 1990s as a result of privatization, deregulation, the new information technologies, the opening up of national economies to foreign firms, and the growing participation of national economic actors in global markets. The organizational architecture for cross-border flows that emerges from these rescalings and articulations is only partially ensconced in, and at times increasingly diverges from, the interstate system. The key articulators now include not only national states but also firms and markets whose global operations are facilitated by new policies and cross-border standards produced by willing or not-so-willing states (for example, Panitch 1996; Gill 1996; Ferguson and Jones 2002; Rodney Bruce J. Hall and Thomas J. Biersteker 2002; Harvey 2007; Taylor 2004).

The growth of networked cross-border dynamics among global cities includes a broad range of domains—political, cultural, social, and criminal. There are multiple empirical referents for these nonstate forms of articulation, which we can disaggregate into particular components. One type of empirical referent is economic, including the growing number of cross-border mergers and acquisitions, the expanding networks of foreign affiliates, and the growing number of financial centers that are becoming incorporated into global financial markets. There is also a proliferation of specialized global circuits for economic activities that both contribute to these new scales and are enhanced by their emergence. A second type of empirical referent is the growing range of cross-border transactions among immigrant communities and communities of origin and a greater intensity in the use of these networks once they become established, including economic activities that had been unlikely until now. We also see greater cross-border networks for cultural purposes, both economic and artistic, as in the growth of international markets for art and a transnational class of curators, and for nonformal political purposes, as in the growth of transnational networks of activists organized in support of environmental causes, human rights, and so on. These are largely city-to-city cross-border networks, or at least it appears at this time to be simpler to capture the existence and modalities of these networks at the city level. The same can be said for the new cross-border criminal networks, whether they are linking drug dealers, terrorists, or traffickers in people. These and other processes explain why a growing number of cities are playing an increasingly important role in directly linking their national economies and societies with global cir-

cuits. As cross-border transactions of all kinds grow, so do the networks binding particular configurations of cities (for example, Taylor 2004; Amen et al. 2006; Lo and Yeung 1996). This growth in turn contributes to the formation of specific cross-border geographies that connect particular sets of cities.

The outcome is a rescaling of the strategic sites that articulate the new system. With the partial unbundling, or at least weakening, of the national as a spatial unit come conditions for the ascendancy of other spatial units and scales (for example, Taylor 1995; Sum 1999; Brenner 1998; 2004; Harvey 2007). Among these are subnational scales, notably cities and regions; cross-border regions encompassing two or more subnational entities; and supranational entities such as global electronic markets and free-trade blocs. The dynamics and processes that get territorialized or are sited at these diverse scales can in principle be regional, national, and global. This rescaling carries consequences for governing the flows and transactions circulating through the particular or general networks of cities, global and otherwise.

Although these networks are partially embedded in national territories, existing national frameworks cannot necessarily regulate their functions. Regulatory functions have increasingly shifted toward a set of emerging or newly invigorated cross-border regulatory networks and the development of an array of standards by which world trade and global finance may be organized. Specialized, often semi-autonomous regulatory agencies and the specialized cross-border networks they are forming are taking over functions once encased in national legal frameworks, and standards are replacing rules in international law.

This last point touches on a crucial theme running through

this book: the theoretical and empirical challenges of studying global phenomena located within the nation-state. Studying global cities and their cross-border networks brings the empirical issues to the fore. Because global cities are located within national territories, the movement of various flows among these cities eventually "touches down" in the national sphere as well. Mapping this empirically can be difficult because most data sets relating to cross-border flows focus on the movement of capital, information, people, and other entities among nation-states, not among individual cities. Thus there is a need for constructing new sets of data to trace these flows. The most significant contribution to this effort has been by Peter Taylor and his colleagues through the setting up of GaWC. Most recently, Alderson and Beckfield (2004) have developed yet another methodology and data set to get at these types of questions. (See also the debate in the *American Journal of Sociology* 2006).

In constructing the new data sets, we can use the qualitative and quantitative methods employed by the social sciences, including sociology. Researchers have begun to address this challenge by studying these global formations as either nodes (Alderson and Beckfield 2004) or flows between nodes (Taylor 2004; see Sassen 2002a for examples of both approaches). Individual nodes can reveal how components of a single city, such as firms and markets, are articulated with the wider network (Gu and Tang 2002; David R. Meyer 2002; Taylor, Walker, and Beaverstock 2002). Research using qualitative methods can delve into the specific globalizing cultures of cities (for example, Krause and Petro 2003; Hill 2007; Peterson 2007) and the daily work and politics involved in the production and

maintenance of a global city (for example, Simmonds and Hack 2000; Rutherford 2004; Samers 2002; Amen et al. 2006). Research on the cross-border networks of global cities has explored the links among these cities and has sketched a hierarchy of the system (David A. Smith and Michael Timberlake 2002; Taylor, Walker, and Beaverstock 2002). Using quantitative methods, researchers have explored the flows between cities using data on air traffic (David A. Smith and Michael Timberlake 2002), inter- and intrafirm links (Taylor, Walker, and Beaverstock 2004), and information flows (Mitchelson and Wheeler 1994). Constructing a more complete picture of these cross-border networks and their nodes will require more research, however. Sociology in particular and the social sciences in general, with their diverse qualitative and quantitative methodologies, can help specify these emergent global formations by using both older data sets and constructing new data sets in ways that avoid methodological nationalism.

DENATIONALIZED STATE AGENDAS AND PRIVATIZED NORM MAKING

Each section in this chapter has drawn attention to the problems of treating the global-national as a mutually exclusive duality. The importance of strategic places such as global cities in capturing global processes and the possibility of localities interacting directly with global networks are cases that problematize the notion of a global-national duality. The global economy to a large extent materializes in national territories; its topography moves between digital space and places in national territories. Global cities are locations in which the global

economy is in good part organized, serviced, and financed. Global processes do not need to move through the hierarchies of national states; they can directly become articulated with certain kinds of localities and local actors.

Although none of these circumstances alters the geographic boundaries of the national state's territory, they do change the meaning of the state's exclusive authority over that territory. As institutions, national states are becoming deeply involved in the implementation of the global economic system. This repositioning of the state raises the issue of whether there are particular conditions that make execution of this role in the current phase distinct and unlike what it may have been in earlier phases of the world economy. While this is in many ways a question of interpretation, I argue that there is indeed something distinctive about the current period. That is, the current role of the state is not new, but it has been transformed.

The work of states, or the *raison d'état*—the substantive rationality of the state—has had many incarnations over the centuries, each of which has had consequences. Today the conditionalities for and the content of specific components of the work of states have changed significantly compared with those of the period immediately preceding the post-World War II decades. Some of those changes are typically captured by the image of the current neoliberal or competitive state as compared with the welfare state of the postwar era. We have, on the one hand, the existence of an enormously elaborate body of law, developed in good measure over the last hundred years, that secures the exclusive territorial authority of national states to an extent not seen in earlier centuries. On the other hand, we see considerable institutionalizing, especially in the 1990s, of the

"rights" of non-national firms, the deregulation of cross-border transactions, and the growing influence or power of some of the supranational organizations. If securing these rights, options, and powers entailed even a partial relinquishing of components of state authority as constructed over the last century, then we can posit that this process sets up the conditions for a transformation in the role of the state. It also signals a necessary engagement by national states in the process of globalization (Aman 1998; Sassen 1996).

This changed condition of the state is often explained in terms of a decrease in regulatory capacities resulting from some of the basic policies associated with economic globalization. We generally use terms such as deregulation and financial and trade liberalization to describe the changed authority of the state in a broad range of markets and economic sectors, and over its national borders. This shifting authority also includes the privatization of public-sector firms. The problem with such terms is that they capture only the withdrawal of the state from regulating its economy. They do not register all the ways in which the state participates in setting up the new frameworks through which globalization is furthered. Nor do they capture the associated transformations inside the state. These are precisely my two concerns.

The new geography of power confronting states entails, therefore, a far more differentiated process than notions of an overall decline in the significance of the state suggest. Instead we are seeing a repositioning of the state in a broader field of power and a reconfiguring of the work of states. This broader field of power is constituted in part by the formation of a new private institutional order linked to the global economy and in

part by the growing importance of a variety of institutional orders engaged with various aspects of the common good broadly understood, such as the international network of NGOs and the international human rights regime. Analyzing this geography of power requires capturing and conceptualizing a specific set of operations that takes place within national institutional settings but is geared to non-national or transnational agendas, whereas once they were geared to national agendas.

This understanding of the state raises two crucial questions. The first question concerns the nature of this engagement:⁸ is the role of the state simply one of reducing its authority (for example, as suggested by terms such as deregulation and privatization and, in general, less government), or does it also require the production of new types of regulations, legislative items, court decisions—in brief, the production of a series of new "legalities"?⁹ The second question explores how various types of states navigate their engagement with global processes. Some states, specifically the United States and the United Kingdom, produce the design for these new legalities—that is, particular aspects of the law derived from Anglo-American commercial law and accounting standards—and impose them on other states, given the interdependencies at the heart of the current phase of globalization. This in turn creates and imposes a set of specific constraints on all participating states.¹⁰ Legislative items, executive orders, adherence to new technical standards, and so on, have to be produced through the particular institutional and political structures of each of these states.¹¹

The first question requires an exploration of the engagement of the state with global processes. One of the roles of the state vis-à-vis economic internationalization has been to ne-

gotiate the intersection of national law and the activities of foreign economic actors—whether firms, markets, or supranational organizations—in its territory as well as the overseas activities of national economic actors. In the case of the United States, legislative measures, executive orders, and court decisions have enabled foreign firms to operate in the United States and for the United States to have internationalized markets.

The case of central banks can be used to illustrate this mix of national institutions and global policies. Central banks are national institutions that address national matters. Yet over the last decade they have become the institutional home within the national state for monetary policies that are necessary to further develop a global capital market and, indeed more generally, a global economic system. The new conditionality of the global financial system—the requirements that need to be met for a country to become integrated into the global capital market—contains as one of its key elements the autonomy of central banks from presidents or prime ministers.¹² This autonomy facilitates the task of instituting a certain kind of monetary policy, one privileging low inflation over job growth even when a president may prefer it the other way around, particularly at reelection time. While securing central-bank autonomy has certainly cleaned up a lot of corruption, it has also been the vehicle for one set of accommodations on the part of national states to the requirements of the global capital market. A parallel analysis can be made of ministries of finance (or the Treasury in the United States), which have had to impose fiscal policies aimed at reducing state social expenditures, yet another conditionality of economic globalization.

This accommodation of the interests of foreign firms and in-

vestors under conditions in which most of a country's institutional domains have been constructed as "national" entails negotiation.¹³ The mode of this negotiation in the current phase has tended in a direction that I describe as a denationalizing of several highly specialized national institutional components.¹⁴ My hypothesis here is that as of the 1980s some components of national institutions, even though formally national, are not national in the sense in which state practice has constructed the meaning of that term since the emergence of the so-called regulatory state, particularly in the West. Though imperfectly implemented and often excluding national minorities, Keynesian policies aimed at strengthening the "national" economy and "national" consumption capacity, and at raising the educational level of the "national" workforce, are good illustrations of this meaning of the national. There are clearly enormous variations among countries in the extent to which such a national policy project existed and the actual period of time during which it was implemented. The key issue today, however, is that state policies and the work of states have altered various elements of what has traditionally been considered a territorially and institutionally exclusive national state.

How do states handle this engagement with the global? Crucial to my analysis is the fact that the emergent, often imposed consensus in the community of states on furthering globalization is not merely a political decision: it entails specific types of *work* by a large number of distinct institutions in each country. In this sense, the consensus forces states to engage in actual work. It is not merely the taking of a decision. Furthermore, this work has an ironic outcome insofar as it destabilizes some aspects of state power: the state can be seen as incorporat-

ing the global project of its own shrinking role in regulating economic transactions. The state here can be conceived of as representing a technical administrative capacity that cannot be replicated at this time by any other institutional arrangement; furthermore, this capacity is backed by military power, which for some states is a global power. Seen from the perspective of firms operating transnationally, the objective is to ensure the functions traditionally exercised by the state in the national realm of the economy, notably guaranteeing property rights and contracts, only now extended to foreign firms as well. How this gets done may involve a range of options. To some extent this work of guaranteeing is becoming privatized, as is signaled, for instance, by the growth of international commercial arbitration and by key elements of the new kinds of privatized authority.¹⁵ The U.S. government as the hegemonic power of this period has led or forced other states to adopt these obligations toward global capital and in so doing has contributed to strengthening the forces that can challenge or destabilize what have historically been constructed as state powers.¹⁶

Regardless of whether the focus is on individual states or the emergent consensus in the community of states, a set of strategic dynamics and institutional transformations is at work. These dynamics and transformations may incorporate a small number of state agencies and units within departments or a small number of legislative initiatives and executive orders and yet have the power to institute a new normativity at the heart of the state. This is especially so because these strategic sectors are operating in complex interactions with private, transnational, and powerful actors. It is happening to varying degrees in a growing range of states, even as much of the institutional

apparatus of states remains basically unchanged. (The inertia of bureaucratic organizations, which creates its own version of path dependence, makes an enormous contribution to continuity.) What we see at work here is the incipient and partial denationalization of specific, typically highly specialized state institutional orders and state agendas. From the perspective of research, I have argued that this transformation entails the need to decode what is "national" (as historically constructed) about these particular specialized institutional orders inside national states (Sassen 2006a, chap. 4).

The mode in which this participation by the state has evolved has been toward strengthening the power and legitimacy of privatized and denationalized state authorities. The outcome is an emergent order that has considerable governance capabilities and structural power. This institutional order contributes to strengthening the advantages of certain types of economic and political actors and to weakening those of others. It is extremely partial rather than universal, but it is strategic in that it has undue influence over wide areas of the broader institutional world and the world of lived experience. Further, this order is not fully accountable to formal democratic political systems. While partially embedded in national institutional settings, it is distinct from them.

There are several features we can identify in this new private institutional order at the heart of several national state institutions. First, the distinctive features of this new, mostly but not exclusively private institutional order in formation are its capacity to privatize what was heretofore public and to denationalize what were once national authorities and policy agendas. This capacity to privatize and denationalize entails specific

p. 35
transformations of the national state—or, more precisely, of some of its components. Second, this new institutional order has normative authority—a new normativity that is not embedded in what has been and to some extent remains the master normativity of modern times, *raison d'état*. Instead, this normativity comes from the world of private power yet installs itself in the public realm and in so doing helps denationalize national state agendas. Third, particular institutional components of the national state begin to function as the institutional home for the operation of powerful dynamics constitutive of what we could describe as global capital and global capital markets. In so doing, these state institutions help reorient their particular policy work or broad state agendas toward the requirements of the global economy. These features then raise a question about what is national in these institutional components of states linked to the implementation and regulation of economic globalization (for data and sources, see Sassen 2006a, chap. 5).

Geared toward governing key aspects of the global economy, both the particular transformations inside the state and the emergent privatized institutional order are partial and incipient but strategic. Both have the capacity to alter possibly crucial conditions for “liberal democracy” and for the organizational architecture of international law, its scope, and its exclusivity. In this sense both have the capacity to alter the scope of the authority of states and the interstate system, the crucial institutional domains through which the “rule of law” is implemented. We are not seeing the end of states but, rather, that states are not the only or the most important strategic agents in this new institutional order and, second, that states, includ-

ing dominant states, have undergone profound transformations in some of their key institutional components. Both these trends are likely to add to the democratic deficit and further strengthen the “legitimacy” of certain types of claims and norms, notably those of global economic actors.

In brief, my argument is that the tension between a) the necessary though partial location of globalization in national territories and institutions and b) an elaborate system of law and administration that has constructed the exclusive national territorial authority of sovereign states, has been partially negotiated through, first, processes of institutional denationalization inside the national state and the national economy and, second, the formation of privatized intermediary institutional arrangements that are only partially encompassed by the interstate system. These arrangements are, in fact, evolving into a parallel institutional world for the handling of cross-border operations.¹⁷ In terms of research this means, among other tasks, establishing what are the new territorial and institutional conditions under which national states operate.

CONCLUSION

This chapter focuses on critical global processes and dynamics that evince multiple sociological features. We can distinguish very broadly three major objects of study. One consists of the endogenizing or localizing of global dynamics, producing a concrete and situated object of study, such as particular types of places—global cities and silicon valleys. A second consists of formations that although global are articulated with particular actors, cultures, or projects, producing an object of study that requires negotiating a global and a local scale, such as global

markets and global networks. A third consists of the denationalizing of what has been constructed historically as national and may continue to be experienced, represented, and coded as such; this process produces an object of study that is contained within national frames but needs to be decoded, such as state institutions that are key producers of policy instruments needed by global economic actors. These three types of instances capture distinct social entities and have diverse origins. They are not necessarily mutually exclusive, however.

Cutting across these diverse processes and domains is a research and theorization agenda. The following chapters develop this agenda by bringing together different strands of rapidly growing scholarships in several disciplines, some focused on self-evidently global processes or conditions and others on local or national processes or conditions. But all contribute to capturing the more social aspects of these conditions, and in that sense they contribute to a sociological analytics. This agenda is driven by at least some of the following major concerns.

At the most general level, a first concern is establishing novel or additional dimensions of, respectively, the spaces of the national and of the global. Specific structurations of what we have represented as the global are actually located deep inside states and other national institutions and, more generally, in territories encased by national legal, administrative, and cultural frameworks. In fact, what has been represented (and to some extent reified) as the scale of the national contains a simultaneity of scales, spaces, and relations, some national in the historic sense of the term, some denationalized or in the process of becoming so, and some global.

A second major concern is with critical examinations of how

we conceptualize the local and the subnational in ways that allow us to detect those instances—even when they might be a minority of all instances—that are in fact denationalized and multiscale even when they are represented and experienced as “simply local.” The multiscale versions of the local examined in later chapters have the effect of destabilizing the notion of context, which is often predicated on that of the local, and the notion that physical proximity is one of the attributes or markers of the local. Furthermore, a critical reconceptualizing of the local along these lines entails at least a partial rejection of the notion that local scales are inevitably part of the nested hierarchies of scale running from the local to the regional, the national, and the international. Localities or local practices can constitute multiscale systems, operating across scales and not merely scaling upward as a result of new communications capabilities.

A third major concern is how to conceptualize the national, especially the specific interactions between global dynamics and particular components of the national. The crucial conditionality here is the partial embeddedness of the global in the national, of which the global city is perhaps emblematic and one of the most complex instances. My main argument is that this embeddedness engenders a variety of negotiations insofar as specific structurations of the global inhabit and partly denationalize what historically has been constructed and institutionalized as national. This type of focus brings to the fore the particularities of each state when it comes to its interaction with global forces. Even though most states have wound up implementing policies that support economic globalization, those actions do not preclude institutional differences in the

process of accommodation. Some states will have resisted and others promptly acquiesced. Understanding this interaction of global and national forces demands detailed studies of the particular ways in which different countries have handled and institutionalized this negotiation.

Chapter Three

THE STATE CONFRONTS THE GLOBAL ECONOMY AND DIGITAL NETWORKS

THE SCHOLARSHIP ON THE STATE AND GLOBALIZATION contains three basic positions: one finds that the state is victimized by globalization and loses significance; a second finds that nothing much has changed and states basically keep on doing what they have always done; and a third, a variant of the second, finds that the state adapts and may even be transformed, thereby ensuring that it remains the critical actor and does not decline. There is research to support critical aspects of each of these positions, partly because much of their difference hinges on interpretation. But notwithstanding its diversity, this scholarship tends to share the assumption that the national and the global are mutually exclusive.

Given the effort in this book to expand the analytic terrain on which the question of globalization may be mapped, the broader research and theorization agenda needs to address aspects of globalization and the state that are lost in those dualized accounts of their relationship. Although many components of each are indeed mutually exclusive, there is a growing, often specific set of components that does not fit this dual structure. As was pointed out in the preceding chapter, this is evident, for instance, with critical components in the work of ministries of finance and central banks (called, respectively, the Treasury and the Federal Reserve in the United States) and

the analysis here: the global financial system has reached a level of complexity that requires the existence of a cross border network of financial centers to service the operations of global capital (Sassen 2006a, chap. 7). Each financial center represents a massive and highly specialized concentration of resources and talent, and the network of those centers constitutes the operational architecture for the global capital market.

It might be interesting at this point to recall Arrighi's (1994) argument that the restarting of a cycle of accumulation derives from local entrepreneurial innovations. As a local system manages to draw profits toward itself, it becomes a model for other systems in the world economy: it exercises a hegemonic leadership function. Power accrues to this territorial region because of its superior performance, not because of its strategic positioning within a global capitalist system. Hence, in this analysis the basic dynamics hold for each of the phases of the world economy, and spatial differentiation is primarily a function of market and competitive efficiency. But within each phase also, Arrighi brilliantly lays out the dynamics of its growth and its downfall; the ascendance of finance is the key indicator of decline. If we do not pay attention to these conditions for the production and reproduction of structural dynamics within each phase, we are limited in theorizing the level of change within a system.⁹ In examining the structuring of key features of the current phase of the global economy, I emphasize on the one hand the production of strategic resources and capabilities and on the other hand the fact that global cities do not simply compete with one another. Together they provide a critical networked infrastructure for the management and control of global chains of transactions, each with considerable

specificity of functions. The result is multiple divisions of labor among cities, contributing to distinctive articulations of the global economy beyond the core-periphery articulation.

State Regulatory Capacities

The existence of such a strategic geography on the organizational side of the global economy is a significant factor in the question of how the state can and does participate in the implementation of the global corporate economy. Regulation is one angle from which to approach this question. The orders of magnitude and the intensity of transactions in the North Atlantic system facilitate the formation of standards even in the context of what are, relatively speaking, strong differences between the United States and continental Europe in their legal, accounting, anti-trust, and other rules. It is clear that even though these regions have more in common with each other than with much of the rest of the world, their differences matter when it comes to the creation of cross-border standards. But shared Western standards, in combination with enormous economic weight, have facilitated the circulation of U.S. and European standards and their imposition on transactions involving firms from other parts of the world. There is a sort of globalization of Western standards. Much has been said about the dominance of U.S. standards, but European standards are also evident—for instance, in the mostly administrative anti-trust procedures being developed in central and eastern Europe, which contrast with the litigation-oriented U.S. system.

Foreign direct investment and the global capital market are at the heart of a variety of regulatory initiatives. The growth of foreign direct investment has brought with it a renewed

concern with questions of extraterritoriality and competition policy, including the regulation of cross-border mergers. The growth of the global capital market has brought with it specific efforts to develop the elements of an architecture for its governance: international securities regulation, new international standards for accounting and financial reporting, and various other provisions. Each has tended to be ensconced in fairly distinct national regulatory frameworks: foreign direct investment in anti-trust law, and global finance in national regulatory frameworks for banking and finance.¹⁰

National states participate in the framing of cross-border regimes. In my current research on the United States, I am extricating from what has been constructed as "U.S. legislative history" a series of legislative items and executive orders that can be read as both accommodations on the part of the national state and its active participation in producing the conditions for economic globalization. This is a history of microinterventions, often minute transformations in our regulatory or legal frameworks that facilitated the extension of cross-border operations of U.S. firms. It is clearly not a new history, neither for the United States nor for other Western former imperial powers (for example, the "concessions" to trading companies under British, Dutch, and other colonial regimes). Yet I argue that we can identify a new phase, one with very specific instantiations of this broader feature.¹¹ Among the first of these new measures in the United States, and perhaps among the best known, are the tariff items passed to facilitate the internationalization of manufacturing, which exempted firms from import duties on the added value of reimported components assembled or manu-

factured in offshore plants. I date this microhistory of legislative and executive interventions to the late 1960s, with a full crystallization of various measures facilitating the global operations of U.S. firms and the globalization of markets in the 1980s, and continuing vigorously into the 1990s. The International Investment Survey Act of 1976, the implementation of International Banking Facilities in 1981, the various deregulations and liberalizations of the financial sector in the 1980s, and the implementation of global standards in the 1990s, are but the best-known landmarks in this microhistory.

Furthermore, the new types of cross-border collaborations among specialized government agencies concerned with a growing range of issues emerging from the globalization of capital markets and the new trade order are yet another aspect of this participation by the state in the implementation of a global economic system. A good example is the heightened interaction in the last three or four years among competition policy regulators from a large number of countries. This has been a period of reinvigorated work on competition policy because economic globalization puts pressure on governments to work toward convergence, given the diversity of laws affecting competition and enforcement practices (Portnoy 2000). This convergence around specific issues of competition policy can coexist with ongoing, often enormous differences among the countries involved when it comes to laws and regulations affecting components of their economies that do not intersect with globalization. There are numerous other instances of this highly specialized type of convergence: regulatory issues concerning telecommunications, finance, the Internet, and so on.

for future work!

It is, then, a very partial type of convergence. But regulators of different countries often begin to share more with each other than they do with colleagues in their home bureaucracies.

What is of particular interest here is that today we see a sharp increase in the work of establishing convergence.¹² We can clearly identify a new phase in the last ten years. In some sectors there has long been an often elementary convergence, or at least a coordination of standards. For instance, central bankers have long interacted with one another across borders, but today we see an intensification in those transactions, which becomes necessary in the effort to develop and extend a global capital market. And the increase of cross-border trade has brought with it a sharpened need for convergence in standards, as is evident in the vast proliferation of regulatory standards issued by the International Standards Organization (ISO).

Although this strategic geography of globalization is partly embedded in national territories, this embedding does not necessarily mean that existing national regulatory frameworks can regulate those functions. Two trends are evident, one recognized, the other not. Much attention has been devoted to the trend for regulatory functions to increasingly shift toward a set of emerging or newly invigorated cross-border regulatory networks and the development of an array of standards by which to organize world trade and global finance. Specialized, often semi-autonomous regulatory agencies and the specialized cross-border networks they are forming are taking over functions once encased in national legal frameworks, and standards are replacing rules in international law. The question for research and theory is whether this mode of regulation is sufficient and whether state participation may emerge again as a more signif-

icant factor for the ultimate workability of some of the new regulatory regimes. The second trend, discussed below, is that the state participates in this new regulatory apparatus, but only under very specific conditions.

NATIONAL STATES IN THE GLOBAL ECONOMY:

DENATIONALIZED PARTICIPATION

The representation of economic globalization in the two preceding sections of this chapter is quite different from many of the standard accounts. For the purposes of this discussion, two of the features of globalization discussed above are especially significant. One feature is that the global economy needs to be produced, reproduced, serviced, and financed. It is not simply a heightening of interdependence or a function of the power of multinational corporations and financial markets. Rather, it takes a vast array of highly complex functions to ensure its existence. These have become so specialized that they can no longer be contained in the functions of corporate headquarters. Global cities are strategic sites for the production of these specialized functions to run and coordinate the global economy. Inevitably located in national territories, global cities are the organizational and institutional space for the major dynamics of denationalization. Although such processes of denationalization—for instance, certain aspects of financial and investment deregulation—are institutional and not geographic, the geographic location of many of the strategic institutions—financial markets and financial services firms—means that these processes are embedded geographically. The second feature, partly connected to the first, is that the global economy to a large extent materializes in national territories. Its topography

↳ to avoid as far as the next crisis

moves between digital space and national territories. This movement requires a particular set of negotiations, one that has the effect of leaving the geographic boundaries of the national state's territory unaltered but transforms the institutional encasements of that geographic fact—that is, the state's territorial jurisdiction or, more abstractly, its exclusive territoriality. The work of states in producing part of the technical and legal infrastructure for economic globalization has involved a change in both the exclusivity of state authority and the composition of the work of states.

Economic globalization entails a set of practices that destabilizes another set of practices—that is, some of the practices that have come to constitute national state sovereignty. Implementing today's global economic system in the context of national territorial sovereignty has required multiple policy, analytic, and narrative negotiations. These negotiations have typically been summarized or coded as "deregulation." Yet there is much more going on in these negotiations than the concept of deregulation captures. The encounter of a global actor—a firm or market—with one or another instantiation of the national state can be thought of as a new frontier. It is not merely a dividing line between the national economy and the global economy. It is a zone in which politico-economic interactions produce new institutional forms and alter some of the old ones. Nor is it just a matter of reducing regulations. For instance, in many countries the need for autonomous central banks in the current global economic system has required a thickening of regulations in order to delink central banks from the influence of the executive branch of government and from deeply "national" political agendas.

The sociological literature on the state has mostly not focused on state work in the implementation of a global corporate economy. But it has made important contributions to the analysis of state work in the implementation of markets. Many of those contributions are useful in beginning to develop the necessary sociological categories. Existing research on state capacity has theorized the structural underpinnings of the ability of the state to intervene in social and economic life (Skocpol 1979; Skocpol and Finegold 1982; Skocpol 1985; Evans 1995; see also Block 1977). As explicit intervention has become delegitimated and states have "submitted" to the necessities of market logics, it has become unclear whether this conceptualization can fully explain the role of the state in contemporary economic life. From this perspective the contemporary state can be little more than a tool for the organization of interests of the ruling class: the autonomy of the state has evaporated as economic actors have become stronger. However, ongoing research in economic sociology has advanced a modified view of the relationship between states and markets, one that is more capable of theorizing the specific functionalities of the contemporary state. Rather than assuming a mutual externality or dualism of state and economy, authors of this research have argued that states play a constitutive role in market formation; hence states do not only "intervene" in markets and the economy (Block 1994). Moreover, markets and their "needs" and "logics" do not exist in complete autonomy from the state but are embedded in the institutional structure and stability provided by the state (Fligstein 2001). The safeguarding of private property, the enforcement of contracts, and so on, depend on the existence of a legitimate public authority. The determination of

L> all impact of
st. state

such rules and structures comprises a distinctly political project. These functions are provided by states but seem better conceptualized in terms of the provision of a secure environment for capital than in terms of the attainment of the specific state-defined goals that figure centrally in mainstream research on the state. Nevertheless, the kinds of capacities theorized by Skocpol and her followers remain critical; the state remains the primary executor of legitimate authority within territorial spaces. Hence the capacity of states to perform specific tasks, such as controlling inflation or enforcing contracts, constitutes the mechanics of the economic system. But the state must be seen as strategic in this system in two senses: not only because of its centralization of legitimate power and authority and resulting capacity to accomplish specific tasks, but also in its provision of an institutional location for the creation of an overarching framework for economic action (Jessop [1990] provides a way of thinking about this that is very different from Fligstein's.)

In my own research I have sought to address these issues by examining whether such state participation in constituting a global corporate economy actually produces a particular, perhaps novel, type of authority or power for specific state institutions. That is, state participation may raise the power of some state entities—for instance, central banks and ministries of finance—even as it sharply reduces the power of others, such as the welfare system. Skocpol (1985, 17) argues that state capacities may not be evenly distributed across different policy domains. In other words, as certain segments of government attain a higher level of organization than others, their relative capacity will vary. Although policy consequences are seen to

flow from this unevenness, the sources of the structural unevenness of internal state development have been relatively unexplored, as they are presumed to result from changes in the structural conditions underlying state autonomy. Weiss (1998) provides some tools for theorizing about these differences by arguing that specific capacities are developed in order to address specific tasks or problem areas. Unevenness, therefore, results not only from the relative power of the state and society but also from the types of problems facing the state and society (Weiss 1998, 9–10). The form of the state, or the development of its specific capacities, depends more on the development of a state's function than on its structure. It is continually emergent and recomposed as specific state organizations engage with changing problem situations. I have found that the weight of both national and foreign private interests in this specific work of the state becomes constitutive of novel state capacities and a new type of state authority, a hybrid that is neither fully private nor fully public (Sassen 2006a, chaps. 4 and 5). One possible interpretation is that we are seeing the incipient formation of a type of state authority and practice that entails a partial denationalizing of the national state.

This conceptualization also introduces a twist in the analysis of private authority because it seeks to detect the presence of private agendas inside the state or, in other words, inside a domain represented as public. However, because it emphasizes the privatization of norm-making capacities and the enactment of those norms in the public domain, it differs from an older scholarly tradition on the captured state that focused on the co-optation of states by private actors. Likewise, it differs from the tradition that would analyze the emergence of an autonomous

class of state managers (Skocpol and Finegold 1982), thus seeing public policy in terms of the actions of this quasi-public group with its own private interests. (It is important to note that these writers are well aware that state managers have only an autonomous influence in specific conjunctures.) The combination of an articulated set of interests of state elites and the successful reproduction of their control of state power constitutes an important mechanism of path dependencies resulting from the development of specific capacities, forms of expertise, or cognitive constraints built into "policy paradigms" (for example, Peter A. Hall 1989; Hall and Soskice 2001; Dobbin 1994). These path dependencies may limit the mutability of state capacity. But here I am less concerned with the specific public and private interests controlling components of state power than with the projects embodied in, and the functions realized through the exercise of, state power. As the public functions of norm making and rule making become increasingly subordinated to technical standards that enable corporate globalization, we can observe the emergence of a substantively private agenda within the boundaries of a formally legitimate public authority. The articulation of this private agenda within the state does not depend solely on the formal representation of private interests. In this regard, then, my position is not comfortably subsumed under the proposition that nothing much has changed in terms of state power, nor can it be subsumed under the proposition of the declining significance of the state.

An important methodological assumption here is that focusing on economic globalization can help us disentangle some of these issues precisely because in strengthening the legitimacy of claims by foreign investors and firms, economic

globalization adds to and renders visible the work of accommodating their rights and contracts in what remain basically national economies. The state is a strategic site for globalization not only in the sense of embodying the capacities to accomplish particular goals because of its centralization of coercive power but also in the sense of providing a domain in which "strategies" of collective action may be articulated (Jessop 1990). *Strategy* here refers not only to the action of individuals or collective subjects but also to the many ways in which collective action may be coordinated: what will be impermissible, how benefits will be distributed, and so on. Jessop (1990) develops this notion in terms of "strategies of accumulation." These strategies manifest themselves not in any one particular policy but as the coherence of a set of policies; it is through examination of these manifestations that one may uncover the more general strategies in this case, concerning foreign capital. However, these dynamics can also be present when privatization and deregulation concern native firms and investors, even though in much of the world privatization and deregulation have been constituted through the entry of foreign investors and firms.

The discussion thus far suggests that some of the key features of economic globalization allow for a broader range of forms of state participation than is generally recognized in analyses of the declining significance of the state. Peter Hall and David Soskice (2004), for instance, find significant competitive possibilities in social democratic states, thus undermining common claims that there is no alternative to market-structured social relations. There are at least two distinct issues here. One is that the current condition, marked by the ascendancy of private authority, is but one possible mode of

several in which the state could be articulated. Hence entities such as the Schumpeterian workfare state (Jessop 1990), the competition state (Cerny 1990), and so on, should be thought of only as tendencies within contemporary development and not as necessary outcomes or predictions. The other issue is that the current condition leaves room for new forms of participation by the state as well as new forms of cross-border state collaboration in the governing of the global economy (see, for example, Aman 1995, 1998). Among them are forms of state participation aimed at recognizing the legitimacy of claims for greater social justice and democratic accountability in the global economy, although both would require administrative and legal innovations.¹³ The effort here, then, is not so much to show the enormous power and authority amassed by global markets and firms but to detect the particular ways in which the power and authority of the state can and do shape and reshape those forms of private economic power. A key implication is that in the context of economic globalization a new type of state authority may well arise out of such particular instances and that it could also be used for non-corporate aims.

A distinct angle from which to view some of these issues is brought up by the new digital capabilities of the global corporate world, which are generally seen as escaping state jurisdictions and hence providing a sort of counterfactual argument to the one developed thus far, which emphasizes state powers.

DIGITAL NETWORKS, STATE AUTHORITY, AND POLITICS

The rapid proliferation of global computer-based networks and the digitization of a broad array of economic and political activities enabling them to circulate in these networks raise ques-

tions about the effectiveness of current framings for state authority and democratic participation.¹⁴ In a context of multiple partial and specific changes linked to globalization, these forms of digitization have enabled the ascendancy of subnational scales, such as the global city, and supranational scales, such as global markets, where before the national scale was dominant. The critical issue in this section arises from the fact that these rescalings do not always parallel existing formalizations of state authority. As I have discussed, today's rescaling dynamics cut across institutional size and the institutional encasements of territory and authority produced by the formation of national states (Taylor 2000; Ruggie 1993; Robinson 2004). At its most general these developments raise a number of questions about their impact on the regulatory capacities of states and their potential for undermining state authority as it has come to be constituted over the last two centuries. More analytically, we might ask whether these developments signal new types of imbrications of authority and place.

These questions can be explored by focusing on how digitization has enabled the strengthening of older non-state actors and spaces and the formation of novel ones capable of engaging the competence, scope, and exclusivity of state authority. The particular empirical cases discussed here are global finance and electronic cross-border activism, in both of which digitization has been transformative. To some extent these cases are overdetermined in that they entail multiple causalities and contingencies. By focusing on digitization, I do not mean to posit a single causality. On the contrary, digitization is deeply caught up with other dynamics that often shape its development and uses; in some cases it is completely derivative, a mere instru-

mentality of the other dynamics in play, and in some cases it is constitutive of new domains (Benkler 2006). One key assumption is that understanding the imbrications of digitization and politico-economic processes requires recognizing the embeddedness of digital space and resisting purely technological readings of the technical capacities involved.

This section develops these issues through an examination of three dynamics. The first is the relationship between state authority and the Internet, a necessary introduction to a subject weighed down by assumptions about the built-in capacities of the Internet to override existing relations of law to place, notably the much-noted fact that firms, individuals, and NGOs can elude government control when operating in cyberspace. The second is the relationship between state authority and the global capital market, particularly in regard to the fact that this market is not only largely electronic and de facto supranational but also enormously powerful. The third, to be examined in Chapter Seven, is the formation of types of global politics that run through the specificities of localized concerns and struggles yet can be seen as expanding democratic participation beyond state boundaries. I regard these politics as non-cosmopolitan versions of global politics, a view that in many ways raises questions about the relation of law to place that are opposite those raised by global finance. My effort in the next sections is to map a conceptual problematic rather than to provide all the answers.

State Regulation and the Internet

The condition of the Internet as a decentralized network of networks has contributed to strong notions about its built-in au-

tonomy from state power and its capacity to enhance democracy from the bottom up by strengthening both market dynamics and access by civil society.¹⁵ At the core of the Internet are so-called Internet exchanges, national backbone networks, regional networks, and local networks, all of which are often privately owned. On October 24, 1995, the U.S. Federal Networking Council made the following resolution concerning the definition of the term *Internet*:

"Internet" refers to the global information system that (i) is logically linked together by a globally unique address space based on the Internet Protocol (IP) or its subsequent extensions/follow-ons; (ii) is able to support communications using the Transmission Control Protocol/Internet Protocol (TCP/IP) or its subsequent extensions/follow-ons, and/or other IP-compatible protocols; and (iii) provides, uses, or makes accessible, either publicly or privately, high level services layered on the communications and related infrastructures described herein.¹⁶

Thus whereas in principle many of the key features of the Internet do indeed have this capacity to enhance democracy and openness, its technology also suggests possibilities for significant control and the imposition of limitations on access.

Although it is certainly the case that in many ways the Net escapes or overrides most conventional jurisdictions (Post 1995; Rogers 2004), this fact does not necessarily imply the absence of regulation and/or control. Much of the literature on this issue operates at two very different levels. One is a generalized set of notions that is still rooted in the earlier emphasis on the Internet as a decentralized space in which no authority

structures can be instituted. The other is a rapidly growing technical literature, in good part stimulated by the growing importance of Internet addresses and the system of registering domain names, along with the associated legal and political issues those have engendered. A fact too often left out of the generalized commentaries on the Internet is that at least three factors constitute a de facto management of the Internet. The first is government authority through technical and operational standard-setting for both hardware and software. The second is the growing power of large corporate interests in shaping the growing orientation of the Internet toward privatizing capabilities. And the third is a kind of central authority that has long overseen some of the crucial features of the Internet having to do with addresses and numbers-granting and the system of domain names. These three conditions do not signal that regulation is ipso facto possible. They merely signal that the representation of the Net as escaping all authority or oversight is inadequate (Goldsmith and Wu 2006; Mueller 2004).

Boyle (1997), among others, has examined how the built-in set of standards that constitute the Internet undermines claims that the state cannot regulate it. Indeed, he argues that the state's regulatory agenda is already partially contained in the design of the technologies. Thus the state can regulate the Internet in this case even though it does not do so via sanctions. Boyle in fact alerts us to the fact that privatized and technologically based rule enforcement would take policing away from the scrutiny of public law, freeing states from some of the constitutional and other constraints restricting their options. Such absence of constraints on state action can be problematic even in the case of states that operate under the rule of law, as exam-

ples of abuse of power by various government agencies in the United States make clear.¹⁷

The second de facto "regulatory" condition is the power of private corporate interests in shaping the activity space of the Internet. In this shaping lies a kind of control. It makes clear that the question of democratic governance of the Internet goes far deeper than the types of bodies set up to govern it. Beyond governance, the actors shaping the development of the Internet diverge sharply, ranging from the original group of computer scientists who developed the open and decentralized features of the Internet to multinational corporations concerned with the protection of intellectual property rights. Most recently there has been a strengthening of civic and political groups concerned with the extent to which private corporate interests are shaping Internet access and development. One of the most radical critiques comes from Lovink (2003), who finds that the original open Internet culture has lost its capacity to enable civil society full access and that the only way forward is via a new culture. (See also Thierer and Crews 2003.)

One central issue that captures these divergent interests is that Internet software development since the mid-1990s has focused on firewalled intranets for firms, firewalled tunnels for firm-to-firm transactions, identity verification, trademark protection, and billing. The rapid multiplication of this type of software and its growing use on the Internet overall reduce the publicness of the Net and risk orienting much of the capability represented by the Internet toward corporate and, more broadly, commercial interests. This trend is especially significant if there is less production of software aimed at strengthening the openness and decentralization of the Internet, as was

the case in the Internet's earlier phases. Since 1995–1996 political and technical developments have brought about what may be interpreted as an increase in controls (Lessig 1999; Dean et al. 2006). Prior to 1995 users could more easily maintain their anonymity while online and it was difficult to verify users' identity, thereby ensuring better protection of privacy. The architecture of the Internet inhibited "zoning"—any technique that facilitates discrimination in access to or distribution of some good or service.¹⁸ Since then, with the drive to facilitate e-commerce, the situation has changed: the architecture of the Internet now facilitates zoning.¹⁹ These conditions inevitably play a role in current efforts at Internet governance.

The third element constituting a de facto management of the Internet is the existence of an originally informal and now increasingly formalized central authority governing the Internet's key functions.²⁰ The nature of this authority is not necessarily akin to that of a regulatory authority but it is a gatekeeping system of sorts and raises the possibility of oversight capacities that will increasingly demand considerable innovation in our concept of what constitutes regulation.²¹ The establishment of the Internet Corporation for Assigned Names and Numbers (ICANN) in the summer of 1998, now the group charged with overseeing the Net's address system, represents a formalization of the earlier authority.²² It was basically started as a group of insiders with fairly loose and ineffective bylaws. By early 1999, it had implemented conflict-of-interest rules, opened up some board meetings to the public, and worked toward developing a mechanism to elect board members in an effort to build in more accountability.²³ Setting up ICANN has by no means solved all problems,²⁴ and ICANN is

today the subject of growing debate among various digital subcultures, many of which see ICANN as a deeply undemocratic regulatory apparatus largely dominated by U.S. interests, notably large corporations.²⁵ (See Klein 2004; Siochru et al. 2002.)

What I want to emphasize here is that these trends signal the existence of Internet management. Perhaps more important, they show us the necessity for, as we might say, fair governance if we are to ensure that public interest issues also shape Internet development. Market forces alone will not ensure that the Internet contributes to the strengthening of democratic institutions, as many a commentator has assured us. As the Internet has grown, become more international, and gained in economic importance, there appears to be growing concern that a more organized and more accountable system is needed.

The debate about the Internet is somewhat divided on the question of whether it can be governed at all.²⁶ Simplifying what is a partially overlapping set of positions, one might say that for some the Internet is an entity that can be subjected to a governance mechanism, whereas for others there is no such entity but rather a decentralized network of networks that at best can lend itself to the coordination of standards and rules. Among those who consider the Internet a single entity, much of the concern has focused on the establishment of a system of property rights and other such protections and the means for enforcing them. The disagreement has centered on how to administer and enforce such a system. For some (for example, Foster 1996) it would be necessary to attach such a system to a multilateral organization, notably the International Telecommunication Union or the World Intellectual Property Organization, precisely because there is no global trademark law, only

national law, whereas the Internet is a global entity. This arrangement would ensure recognition by member governments. For others, however, the mechanisms for governance would come from the institutions of the Internet itself. Gould (1996), for example, argues that there is no need for outside institutions to be brought in but contends that Internet practices could produce a sort of constitutional governance pertaining exclusively to the realm of the Internet. A third type of proposal was developed by Mathiason and Kuhlman (1998), who suggest the need for an international framework convention agreed on by governments; such a framework convention could parallel the UN framework Convention on Climate Change.

On the other hand, those experts who consider that there is no such entity as the Internet, but only a decentralized network of networks, argue that there is no need for any external regulation or coordination. Furthermore, the decentralized nature of the system would make external regulation ineffective. But there tends to be agreement with the proponents of governance as to the need for a framework for establishing a system of property rights. Gillett and Kapor (1996) argue for the functionality of diffused coordination mechanisms; furthermore, the authority of such coordination, they posit, could be more easily legitimated in distributed network environments like the Internet than in more traditional settings, and increasingly so given a stakeholder community that is becoming global. Mueller (1998) strongly argues against both an Internet regulatory agenda and the policing of trademark rights. He is critical of the very notion of the term *governance* when it comes to internetworking, as it is the opposite of what ought to be the purpose, which is that of facilitating internetworking. He ar-

gues that too much debate and effort have focused on restricting the ability to internetwork (see also Mueller 2004).

In what is at this time one of the most systematic examinations of the various perspectives, Pare (2003) argues that neither approach offers much insight into the processes actually shaping the governance trajectory of the Internet; he focuses particularly on the addressing system. Nor can these approaches account for the operational structures of the organizations currently responsible for managing the core functions of internetworking (at both the national and international levels) or the likelihood of their survival.²⁷ One important issue is the role of the actual features of the technology in shaping some of the possibilities or forms of governance or coordination (Pare 2003, chap. 5; Latham and Sassen 2005; Rogers 2004; Mueller 2004). Transnational electronic networks create a set of jurisdictions different from those of territorially based states. Hence there is little purpose in trying to replicate territorially based regulatory forms for the Internet. One possibility is that various dimensions of internetworking, including Internet addressing, could be governed by decentralized emergent laws that eventually could converge in common standards for mutual coordination. For authors emphasizing the technology question, the Internet is a regulated environment, given the standards and constraints built into the hardware and software. Thus Reidenberg (1996) agrees that the Internet undermines territorially based regulatory governance. But new models and sources of rules have been, and continue to be, created out of the technical standards and their capacity to establish default boundary rules that impose order in network environments (see also Lessig 1999; Goldsmith and Wu 2006). Technical stan-

dards can be used as instruments of public policy, and in this regard Reidenberg (1998) posits the emergence of a *lex informatica*. For those of us working on the global economy today, this viewpoint is clearly reminiscent of the older *lex mercatoria*, a concept that is now being revived in the context of economic globalization and privatization.

The public-access Internet is only one portion of the vast new world of digital space, and in my reading, much of the power to undermine or destabilize state authority attributed to the Internet actually comes from the existence of private dedicated digital networks, such as those used in wholesale global finance. To this I turn now.

Distinguishing Public-access and Private Digital Space

Many assertions about digital dynamics and potentials actually involve processes happening in a type of private digital space that is radically different from the public-access Internet (whether free or for a fee). I consider this a serious though fairly common confusion. Most wholesale financial activity and other significant digital economic activities take place in private digital networks.²⁸ This is a type of private space that, at one end, can include privatized Internet spaces such as firewalled sites and tunnels and, at the other, dedicated networks.

Private digital networks make possible forms of power other than the distributed power we associate with public digital networks. The financial markets illustrate this possibility well. The three properties of electronic networks—decentralization, simultaneity, and interconnectivity—have produced sharp increases in the orders of magnitude of the global capital market.

In a narrow technical sense we can interpret such increases as an outcome similar to the sharp increase in the number of transactions individuals can have in a given amount of time using the Internet compared with what might be the case with other technologies, such as faxing. However, given that digital networks dedicated to financial activities are embedded in a specific social field—the financial sector—the result of these technical features is increased capital concentration rather than increased distribution. At the same time, the limits of the context are set by the transformative impact of digitization on the sector itself: more instability and risk.

One of the key outcomes of digitization for finance has been the jump in orders of magnitude. There are basically three ways in which digitization has contributed to this outcome. The first is in the use of sophisticated software, a key feature of the global financial markets today and a condition that in turn has made possible an enormous amount of innovation. It has raised the level of liquidity and has increased the possibilities for liquefying forms of wealth hitherto considered nonliquid.²⁹ Such liquefying can require enormously complex instruments; the possibility of using computers not only facilitated the development of those instruments but also enabled their widespread use insofar as much of the complexity could be contained in the software. The second way in which digitization has affected finance lies in the features of digital networks that maximize the implications of global-market integration by producing the possibility of simultaneous interconnected flows and transactions. Since the late 1980s, a growing number of financial centers have become globally integrated as coun-

tries have deregulated their economies. This nondigital condition has increased the impact of the digitization of markets and instruments.

Third, because finance involves transactions rather than simply the flow of money, the particular technical properties of digital networks have assumed added meaning because the number of transactions that can be executed within a given time frame can be multiplied with every additional participant. Elsewhere I have examined organizational complexity as a key variable allowing firms to maximize the utility or benefits they can derive from digital technology (Sassen 2001, 115–16); in the case of financial markets, complex instruments can have that same effect (Sassen 2006a, chap. 7).

The combination of these conditions has contributed to the distinctive position of the global capital market regarding other components of economic globalization. One indicator is the actual monetary values involved; another, though more difficult to measure, is the growing weight of financial criteria in economic transactions, sometimes referred to as the financialization of the economy. From 1980 to 1995, the period that launches a new global phase, the total stock of financial assets increased three times faster than the aggregate gross domestic product (GDP) of the twenty-three most highly developed countries that formed the Organisation for Economic Cooperation and Development (OECD) for much of that period, and the volume of trading in currencies, bonds, and equities increased about five times faster (Woodall 1995). This aggregate GDP stood at \$30 trillion at the end of the 1990s, whereas the worldwide value of internationally traded derivatives was over \$65 trillion. By 2004, that value had risen to \$290 trillion. To

put these figures in perspective, it is helpful to compare them to the value of other major components of the global economy, such as the value of cross-border trade (approximately \$11 trillion in 2004) and global foreign direct investment stock (\$8 trillion in 2004). Foreign exchange transactions were ten times as large as world trade in 1983 but seventy times larger in 1999 and over eighty times larger by 2003 even though world trade had itself grown sharply over that period.³⁰

In brief, the deregulation of domestic financial markets and the global integration of a growing number of financial centers, computers, and telecommunications technologies have contributed to an explosive growth in financial markets.³¹ The high degree of interconnectivity in combination with instantaneous transmission signals the potential for exponential growth.³² The increase in volume per se may be secondary in many regards. But when the volume can be deployed—for instance, to overwhelm national central banks, as happened in 1994 in Mexico and in 1997 in Thailand—then the fact of the volume itself becomes a significant variable. Furthermore, when globally integrated electronic markets could enable investors to rapidly withdraw well over \$100 billion from a few countries in Southeast Asia in the 1997–1998 crisis and the foreign currency markets had the orders of magnitude to alter exchange rates radically for some of those currencies, the fact of digitization emerged as a significant variable that went beyond its technical features.

These conditions raise a number of questions concerning the impact of this concentration of capital in global markets which allow for high degrees of circulation in and out of countries (see Sassen 2006a, chap. 5, for a discussion). Does the global capital

market now have the power to “discipline” national governments—that is, to subject at least some monetary and fiscal policies to financial criteria—whereas in the preceding period it could not quite do so? How does such a power affect national economies and government policies more generally? Does it alter the functioning of democratic governments? Does this kind of concentration of capital reshape the accountability relation that has operated through electoral politics between governments and their people? Does it affect national sovereignty? And finally, do these changes reposition states and the interstate system in the broader world of cross-border relations? The responses to these questions vary, with some scholars finding that in the end the national state still exercises the ultimate authority in these matters (Helleiner 1999) and others seeing an emergent power gaining at least partial ascendancy over national states (Panitch 1996).

If the formation of a global capital market represents a concentration of power that is capable of influencing national governments’ economic policy and by extension other policies, one of the key issues concerns norms. In my reading, today’s global financial markets are not only capable of deploying raw power but also have produced a logic that becomes integrated into national public policy and sets the criteria for “proper” economic policy.³³ The operational logic of the capital market contains criteria for what leading private interests today consider sound financial policy, and these criteria have been constructed as norms for important aspects of national economic policy making going far beyond the financial sector as such. This dynamic has become evident in a growing number of countries as they became integrated in the global financial markets. For

many the norms have been imposed from the outside. As has been said often, some states are more sovereign than others in these matters.³⁴ Some of the more familiar elements that have become norms of “sound economic policy” include the new importance attached to the autonomy of central banks, anti-inflation policies, exchange-rate parity, and the variety of items usually referred to as IMF conditionality.³⁵

Digitization of financial markets and instruments played a crucial role in raising the orders of magnitude of the global capital market, the extent of its cross-border integration, and hence its raw power. Yet this process was shaped by interests and logics that typically had little to do with digitization per se, even though it was crucial. This analysis makes clear the extent to which these digitized markets are embedded in complex institutional settings. In addition, while the raw power achieved by the capital markets through digitization facilitated the institutionalizing of certain finance-dominated economic criteria in national policy, digitization alone could not have achieved this policy outcome.

One crucial implication of this particular type of embeddedness of global finance is that the supranational electronic market space, which operates in part outside any government’s exclusive jurisdiction, is actually only one type of space for this digitized industry. The other type of space is marked by the thick environments of actual financial centers, places in which national laws continue to be operative, albeit often in profoundly altered forms. The embeddedness of private economic electronic space entails the formation of massive concentrations of infrastructure, not just worldwide dispersal, and a complex interaction between digitization and more situated transac-

tions, which are much more subject to direct state authority. The notion of global cities captures this particular embeddedness of global finance in actual financial centers.³⁶ In the case of private digital spaces such as those described here for global finance, this embeddedness carries significant implications for theory and politics, specifically, for the conditions through which governments and citizens can act on this new electronic world.

In brief, the private digital space of global finance intersects in at least two specific ways with the world of state authority and law. One is through the introduction of new types of norms, those reflective of the operational logic of the global capital market, into national state policy. The other is through the partial embeddedness of even the most digitized financial markets in actual financial centers, an intersection that in part returns global finance to the world of national governments. Global digitized finance makes legible some of the complex and novel imbrications of law and place and the fact that it is not simply an overriding of national state authority. It consists, rather, of both the use of that authority for the implementation of regulations and laws that respond to the interests of global finance *and* the renewed weight of that authority in the case of financial centers.

Chapter Four

THE GLOBAL CITY: RECOVERING PLACE AND SOCIAL PRACTICES

THE MASTER IMAGES in the currently dominant account of economic globalization emphasize hypermobility, global communications, and the neutralization of place and distance. There is a tendency to take the existence of a global economic system as a given, a function of the power of transnational corporations and global communications. This emphasis brings to the fore both the power and the technical attributes of the global corporate economy. A sociological inquiry needs to go beyond givens and attributes. It needs to examine the making of these conditions and the consequences of this making.

The capabilities for global operation, coordination, and control contained in the new information technologies and in the power of transnational corporations need to be produced. By focusing on the production of these capabilities, we add a neglected dimension to the familiar issue of the power of large corporations and the new technologies. The emphasis shifts to the practices that constitute what we call economic globalization and global control: the work of producing and reproducing the organization and management of both a global production system and a global marketplace for finance under conditions of economic concentration. A focus on practices draws the categories of place and production process into the analysis of economic globalization. These are two categories easily overlooked

in accounts centered on the hypermobility of capital and the power of transnationals. Developing categories such as place and production process (even in finance) does not negate the centrality of hypermobility and power. Rather, these categories bring to the fore the fact that many of the resources necessary for global economic activities are not hypermobile and are indeed deeply embedded in places such as global cities and export-processing zones, and so are many global work-processes.

Why is it important to recover place and production in analyses of the global economy, particularly as they are constituted in major cities? It is because they allow us to see the multiplicity of economies and work cultures in which the global information economy is embedded. They also allow us to recover the concrete, localized processes through which globalization takes shape and to argue that much of the multiculturalism in large cities is as much a part of globalization as is international finance. Finally, focusing on cities allows us to specify a geography of strategic places at the global scale, places bound to one another by the dynamics of economic globalization. I refer to this as a new geography of centrality, and one of the questions it engenders is whether this new transnational geography is also the space for new transnational politics. Insofar as an economic analysis of the global city recovers the broad array of jobs and work cultures that are part of the global economy, though typically not marked as such, it allows us to examine the possibility of new forms of inequality arising from economic globalization. And it allows us to detect new types of politics among traditionally disadvantaged workers; that is, it allows us to understand in its empirical detail whether operating in this transnational economic geography as

it materializes in global cities makes a difference to the disadvantaged. This politics of the disadvantaged would be a politics arising from economic participation in the global economy by those who hold the "other" jobs in that economy, whether factory workers in export-processing zones in Asia, workers in garment sweatshops in Los Angeles, or janitors on Wall Street.

The specific sociological question organizing the examination of these kinds of issues is whether we are actually seeing new social forms among old social conditions. Thus power, capital mobility, economic and political disadvantage, homelessness, gangs—all existed long before the current phase of globalization. But are the types of power, mobility, inequality, homelessness, professional classes and households, gangs, and politics that we saw emerge in the 1980s sufficiently distinct from those of the past that they are actually novel social forms even though in a general sense they look the same as they always have? My argument is that many are indeed new social forms because they arise out of the specificity of the current phase. Thus the empirical details of these social forms are also a window into the features of the current globalization phase.

These are the subjects addressed in this chapter. The first section examines the possibility that the city, a complex type of place, has once again become a lens through which to examine major processes that unsettle existing arrangements. The second section examines the role of place and production in analyses of the global economy. Based on this recovery of place-based activities in a global economy, the third section posits the formation of new cross-border geographies of centrality and marginality constituted by these processes of globalization. Returning to the consequences of these processes for the spe-

cific types of places involved in these geographies, the fourth section discusses some of the elements that suggest the formation of a new sociospatial order in global cities. The fifth section examines particular localizations of the global by focusing on immigrant women in global cities. The final section considers the global city as a nexus where these various trends come together and produce new political alignments.

THE CITY: ITS RETURN AS A LENS FOR SOCIAL THEORY

The city has long been a strategic site for the exploration of many major subjects confronting society and sociology. But it has not always been a heuristic space—a space capable of producing knowledge about some of the major transformations of an epoch. In the first half of the twentieth century the study of cities was at the heart of sociology. This is evident in the work of Georg Simmel, Max Weber, Walter Benjamin, and most prominently, the Chicago school, especially Robert Park and Louis Wirth, both deeply influenced by German sociology; and, though writing later, Henri Lefebvre. These sociologists confronted massive processes—industrialization, urbanization, alienation—in a new cultural formation they called urbanity. For them studying the city was not simply about studying the urban. It was about studying the major social processes of an era. Since then the study of the city, and with it urban sociology, have gradually lost their privileged roles as lenses through which to view the discipline and as producers of key analytic categories. There are many reasons for this change, most important among which are the particular developments of method and data in sociology in general. Critical is the fact that the city ceased serving as the fulcrum for epochal transfor-

mations and hence as a strategic site for research on nonurban processes. Urban sociology became increasingly concerned with what came to be called social problems.

Today, as we begin a new century, the city is once again emerging as a strategic site for understanding some of the major new trends reconfiguring the social order. The city, together with the metropolitan region, is one of the spaces where major macrosocial trends materialize and hence can be constituted as an object of study. Among these trends are globalization, the rise of the new information technologies, the intensification of transnational and translocal dynamics, and the strengthened presence and voice of specific types of sociocultural diversity. Each of these trends has its specific conditionalities, content, and consequences. The urban moment is but one moment in a number of often complex multisited trajectories, and this raises an important question: can the sociological study of cities produce scholarship and analytic tools that help us understand the broader social transformations under way today, as it did early in the preceding century? One critical issue here is whether these larger transformations evince sufficiently complex and multivalent urban instantiations to allow us to construct such instantiations as objects of study. The urban moment of a major process is susceptible to empirical study in ways that other phases of such a process might not: The financial center is more concrete than electronic capital flows.

At the same time this partial urbanization of major dynamics repositions the city itself as an object of study: what is it we are naming today when we use the construct of the city? The city has long been a debatable construct, whether in early writings (Castells 1977; Harvey 1982) or in very recent work

(Brenner 1998; Lloyd 2005; Paddison 2001; Drainville 2004; Satler 2006). Today we are seeing a partial unbundling of national space and the traditional hierarchies of scale centered on the national, with the city nested somewhere between the local and the region. This unbundling, even if partial, makes conceptualizing the city as nested in such hierarchies problematic. Major cities have historically been nodes where a variety of processes intersect in particularly pronounced concentrations. In the context of globalization many of these processes are operating at a global scale that cuts across historical borders, with the added complexities that brings with it.

Cities emerge as one territorial or scalar moment in a transurban dynamic.¹ The city here is not a bounded unit but a complex structure that can articulate a variety of cross-boundary processes and reconstitute them as a partly urban condition (Sassen 2001). Furthermore, this type of city cannot be located simply in a scalar hierarchy that puts it below the national, regional, and global. It is one of the spaces of the global, and it engages the global directly, often bypassing the national. Some cities may have had this capacity long before the current era, but today these conditions have been multiplied and amplified to the point where they can be read as contributing to a qualitatively different urban era.

Social theorists (for example, Giddens 1990; Taylor 1996; Brenner 1998, 2004; Beck 2006; Robinson 2004) have examined the "embedded statism" that has marked the social sciences generally and has become one obstacle to a theorization of the global through some of these issues. At the heart of embedded statism is the explicit or implicit assumption that the nation-state is the container of social processes. To this I

add two features already discussed in Chapter Three: the implied correspondence of national territory with the national and the associated implication that the national and the non-national are mutually exclusive conditions. These various assumptions work well for many of the subjects studied in the social sciences. But they are not helpful in elucidating a growing number of situations when it comes to globalization and a variety of transnational processes now being studied by social scientists. Nor are they helpful for developing the requisite research techniques. Furthermore, as argued in Chapter Three, although they describe conditions that have held for a long time—throughout much of the history of the modern state since World War I and in some cases for even longer—we are now seeing their partial unbundling. This partial unbundling of the national has significant implications for our analysis and theorization of major social transformations, such as globalization, and the possibility of focusing on the city to get at some of the critical empirical features of these major transformations. And it has significant implications for the city as an object of study.

Pivoting theorization and research on the city is one way of cutting across embedded statism and recovering the rescaling of spatial hierarchies that is under way. Interest in the city as a site for research on major contemporary dynamics is evident in numerous disciplines, each with its own analytic tools. The traditional tools of sociology and social theory, including urban sociology, can accommodate only some aspects of these trends. The exception is an early generation (for example, Castells 1989; Rodriguez and Feagin 1986; Gottdiener 1985; Timberlake 1985; Chase-Dunn 1984; King 1990; Zukin 1991;

Sassen-Koob 1982, 1984—to cite but a few) of what is today a small but rapidly growing sociological scholarship that has explicitly sought to theorize these new conditions and specify them empirically. Traditionally other branches of sociology have used the urban moment to construct their object of research even when it is nonurban. This is especially so because cities are also sites where major trends interact with one another in distinct, often complex manners in a way they do not in most other settings. Today all of this holds also for studying the global in its urban localizations.²

Besides the challenge of overcoming embedded statism, there is the challenge of recovering place in the context of globalization, telecommunications, and the proliferation of transnational and translocal dynamics. It is perhaps one of the ironies at the start of a new century that some of the old questions of the early Chicago school of urban sociology should resurface as promising and strategic to an understanding of certain critical issues today. One might ask whether the methods of those scholars (Park and Burgess, 1925; Suttles 1968; see also Duncan 1959) might be of particular use in recovering the category of place at a time when dominant forces such as globalization and telecommunications seem to signal that place and the details of the local no longer matter. Robert Park and the Chicago school conceived of “natural areas” as geographic areas determined by unplanned subcultural forces. This was an urban sociology that used fieldwork within a framework of human ecology and contributed many rich studies mapping detailed distributions and assuming functional complementarity among the diverse “natural areas” these sociologists identified in Chicago.³

Yet the old categories are not enough.⁴ Some of the major conditions in cities today, including the urban moment of nonurban dynamics, challenge mainstream forms of theorization and urban empirical analysis. Fieldwork is a necessary step in capturing many of the new aspects of the urban condition, including those having to do with the major trends this chapter focuses on. But assuming complementarity or functionalism brings us back to the notion of the city as a bounded space rather than one site, albeit a strategic one, where multiple transboundary processes intersect and produce distinct sociospatial formations. Recovering place can be met only partially using the research techniques of the old Chicago school of urban sociology (see, for example, the debate in Dear et al. 2002; Soja 2000; Dear 2002; see also David A. Smith 1995). I do think we need to return to some of the depth of engagement with urban areas that the Chicago school achieved and the effort to produce detailed mappings. The type of ethnographies done by Duneier (1999), Talmadge Wright (1997), Lloyd 2005, Klinenberg 2002, Small 2004, and Burawoy et al. (2000) and the type of spatial analysis developed by Sampson and Raudenbush (2004) are excellent examples, as they use many of the same techniques yet work within a different set of framing assumptions.

But that is only part of the challenge of recovering place. Recovering place means recovering the multiplicity of presences in this landscape. The large city of today has emerged as a strategic site for a range of new types of operations—political, economic, “cultural,” and subjective (Elijah Anderson 1990; Lloyd 2005; Abu-Lughod 1994; Miles 2003; Yuval-Davis 1999; Clark and Hoffmann-Matinot 1998; Nashashibi

2007; Allen, Massey, and Pryke 1999; Fincher and Jacobs 1998; Krause and Petro 2003; Bartlett 2007; Hagedorn 2006). It is one of the nexuses where new claims materialize and assume concrete forms. The loss of power at the national level produces the possibility for new forms of power and politics at the subnational level. Furthermore, insofar as the national as container of social process and power is cracked (for example, Taylor 1995; Sachar 1990; Garcia 2002; Parsa and Keivani 2002), it opens up possibilities for a geography of politics that links subnational spaces across borders. Cities are foremost in this new geography. One question the new geographies engender is whether we are seeing the formation of a new type of transnational politics that localizes in these cities.

Immigration, for instance, is one major process through which a new transnational political economy is being constituted, both at the macro level of global labor markets and at the micro level of translocal household survival strategies. It is still largely embedded in major cities insofar as most immigrants, certainly in the developed world, whether in the United States, Japan, or western Europe, are concentrated in major cities (Castles and Miller 2003; Bhachu 1985; Iredale et al. 2002; Tsuda 1998), although moving to smaller cities and suburbs is a second major pattern (Light 2006; Buntin, n.d.). For some scholars (Castles and Miller 2003; Sassen 1998, pt. 1; Ehrenreich and Hochschild 2003; Skeldon 1997; Samers 2002), immigration is one of the constitutive processes of globalization today, even though it is not recognized or represented as such in mainstream accounts of the global economy. The city is one of the key sites for the empirical study of these transnational flows and household strategies.

Global capital and the new immigrant workforce are two major instances of transnationalized actors with features that constitute each as a somewhat unitary actor overriding borders, but often in contestation with each other inside cities (Sassen 1998, chap. 1; Ehrenreich and Hochschild 2003; see also, for example, Bonilla et al. 1998; Cordero-Guzman, Smith, and Grosfoguel 2001). Researching and theorizing these issues require approaches that diverge from those of the more traditional studies of political elites, local party politics, neighborhood associations, immigrant communities, and others, through which the political landscape of cities and metropolitan regions has traditionally been conceptualized in sociology.

PLACE AND PRODUCTION IN THE GLOBAL ECONOMY

Globalization can be deconstructed in terms of the strategic sites where global processes and the links that bind them materialize, as was already indicated in Chapters Two and Three. Among these sites are export-processing zones, offshore banking centers, and on a far more complex level, global cities. These sites produce specific geographies of globalization and underline the extent to which these do not encompass the entire world.⁵ They are, furthermore, changing geographies that have been transformed over the last few centuries and over the last few decades.⁶ Most recently these changing geographies have come to include electronic space.

The overall geography of globalization contains dynamics of spatial dispersal and centralization, the second only recently recognized (e.g., Friedmann 1986; Sassen 1984).⁷ The evidence shows that under specific conditions the massive spatial dispersal of economic activities at the metropolitan, national, and

global levels we associate with globalization has actually contributed to new forms of territorial centralization of top-level management and control operations (Sassen 1991, 2001). The spatial dispersal of economic activity made possible by telematics contributes to an expansion of territorially centralized functions if this dispersal is to take place under the continuing concentration in corporate control, ownership, and profit appropriation that characterizes the current economic system.⁸ National and global markets, as well as globally integrated organizations, require central places where the work of globalization gets done.⁹ Elsewhere (Sassen 2006a, chaps. 5 and 7) I have developed a thesis about finance today as being increasingly transaction-intensive and hence as raising the importance of financial centers because they contain the capabilities for managing this transactivity precisely at a time when the centers assume whole new features, given digitization. Furthermore, information industries require a vast physical infrastructure containing strategic nodes with a hyperconcentration of facilities; we need to distinguish between the capacity for global transmission and communications and the material conditions that make this capacity possible. Also, the most advanced information industries have a production process that is at least partially bound to place because of the combination of resources that process requires even when the outputs are hypermobile. Finally, the vast new economic topography that is being implemented through electronic space is one moment, one fragment, of an even vaster space or economic chain in good part embedded in nonelectronic spaces. There is no fully dematerialized firm or industry. Even the most advanced information industries, such as finance, are only partially installed

in electronic space. And so are industries that produce digital products, such as software design. The growing digitization of economic activities has not eliminated the need for major international business and financial centers, or for Silicon Valleys, and all the material resources they concentrate, from state-of-the-art telematics infrastructure to brain talent (Castells 1989; Graham and Marvin 1996; Sassen 1984; 2006a, chaps. 5, 7, and 8).

In order to recover the infrastructure of activities, firms, and jobs that is necessary to run the advanced corporate economy, including its globalized sectors, in my research I have conceptualized cities as production sites for the leading information industries of our time.¹⁰ These industries are typically conceptualized in terms of the hypermobility of their outputs and the high levels of expertise of their professionals rather than in terms of the production process involved and the requisite infrastructure of facilities and nonexpert jobs that are also part of these industries. A detailed analysis of service-based urban economies shows that there is a considerable articulation of firms, sectors, and workers that may appear to have little connection to an urban economy dominated by finance and specialized services but in fact fulfill a series of functions that are an integral part of that economy. They do so, however, under conditions of sharp social, earning, and often racial or ethnic segmentation (Sassen 2001, chaps. 8 and 9). In the day-to-day work of the leading complex of services dominated by finance, a great many of the jobs are low paying and manual, many of them held by women and immigrants. Although these types of jobs and workers are never represented as part of the global economy, they are in fact part of the infrastructure of the jobs

involved in running and implementing the global economic system, including such an advanced form as international finance.¹¹ The top end of the corporate economy—the corporate towers that project engineering expertise, precision, *techné*—is far easier to mark as necessary for an advanced economic system than are truckers and other industrial service workers, even though those workers are a necessary ingredient.¹² We see here a dynamic of valorization at work that has sharply increased the distance between the devalorized and the valorized—indeed, the overvalorized—sectors of the economy.

For me as a sociologist, addressing these issues has meant working in several systems of representation and constructing spaces of intersection. There are analytic moments when two systems of representation intersect. Such moments are easily experienced as spaces of silence, of absence. One challenge is to see what happens in those spaces or what operations—of analysis, power, or meaning—take place there. One version of these spaces of intersection is what I have called analytic borderlands (Sassen 1998, chap. 1; 2006a, chap. 8). Why borderlands? Because they are spaces that are constituted in terms of discontinuities—discontinuities are here given a terrain rather than reduced to a dividing line. Much of my work on economic globalization and cities has focused on these discontinuities and has sought to reconstitute them analytically as borderlands rather than dividing lines. This perspective produces a terrain within which these discontinuities can be reconstituted in terms of economic operations whose properties are not merely a function of the spaces on each side (that is, a reduction to the condition of dividing line) but also, and most centrally, are a function of the discontinuity itself, the argument being that

discontinuities are an integral part, a component, of the economic system.

A NEW GEOGRAPHY OF CENTERS AND MARGINS

The ascendancy of information industries and the growth of a global economy, two inextricably linked conditions, have contributed to a new geography of centrality and marginality. This geography partially reproduces existing inequalities but is also the outcome of a dynamic specific to current forms of economic growth. It assumes many forms and operates in many arenas, from the distribution of telecommunications facilities to the structure of both the economy and employment. Global cities accumulate immense concentrations of economic power, whereas cities that were once major manufacturing centers suffer inordinate declines; downtowns and business centers in metropolitan areas receive massive investments in real estate and telecommunications while low-income urban and metropolitan areas are starved for resources; highly educated workers in the corporate sector see their income rise to unusually high levels while low- or medium-skilled workers see theirs sink. Financial services produce superprofits while industrial services barely survive.¹³

The most powerful of the new geographies of centrality at the global level bind the major international financial and business centers: New York, London, Tokyo, Paris, Frankfurt, Zürich, Amsterdam, Los Angeles, Toronto, Sydney, and Hong Kong, among others. But this geography now also includes cities such as Bangkok, Taipei, São Paulo, and Mexico City. The intensity of transactions among these cities, particularly in the financial markets, trade in services, and investment, has in-

creased sharply, and so have the orders of magnitude involved (for example, Sassen 2006b, chap. 2; Taylor 2004).¹⁴ At the same time there has been a sharpening inequality in the concentration of strategic resources and activities in each of these cities compared with that of other cities in the same countries.¹⁵ Alongside these new global and regional networks of cities is a vast territory that has become increasingly peripheral and increasingly excluded from the major economic processes that are seen as fueling economic growth in the global economy. Formerly important manufacturing centers and port cities have lost functions and are in decline, not only in the less-developed countries but also in the most advanced economies. Similarly, in the valuation of labor inputs, the overvalorization of specialized services and professional workers has marked many of the "other" types of economic activities and workers as unnecessary or irrelevant to an advanced economy.

There are other forms of this segmented marking of what is and what is not an instance of the new global economy. For example, the mainstream account of globalization recognizes that there is an international professional class of workers and highly internationalized business environments due to the presence of foreign firms and personnel. What has not been recognized is the possibility that we are seeing an internationalized labor market for low-wage manual and service workers or that there is an internationalized business environment in many immigrant communities. These processes continue to be couched in terms of immigration, a narrative rooted in an earlier historical period. This suggests that there are instances of the global or the transnational that have not been recognized as

such or are contested. Among them is the question of immigration, as well as the multiplicity of work environments it contributes to large cities, often subsumed under the notions of the ethnic economy and the informal economy. Much of what we still narrate in the language of immigration and ethnicity, I would argue, is actually a series of processes having to do with, first, the globalization of economic activity, cultural activity, and identity formation and, second, the increasingly marked racialization of labor-market segmentation. Thus those components of the production process in the advanced global information economy taking place in immigrant work environments are components not recognized as part of that global information economy. Immigration and ethnicity are constituted as otherness. Understanding them as a set of processes whereby global elements are localized, international labor markets are constituted, and cultures from all over the world are de- and reterritorialized, puts them right there at the center, along with the internationalization of capital, as a fundamental aspect of globalization (see Chapter Five).

How have these new processes of valorization and devalorization and the inequalities they produce come about? This is the subject addressed in the next section.

ELEMENTS OF A NEW SOCIOSPATIAL ORDER

The implantation of global processes in major cities has meant that the internationalized sector of the urban economy has expanded sharply and has imposed a new set of criteria for valuing or pricing various economic activities and outcomes. This trend has had devastating effects on large sectors of the urban

economy. It is not simply a quantitative transformation; we see here the elements of a new economic regime and its sociospatial expressions. This regime assumes distinct forms in the spatial organization of the urban economy, the structures for social reproduction, and the organization of the labor process. In these trends towards multiple forms of polarization lie conditions for the creation of employment-centered urban poverty and marginality and for new class formations.

The ascendancy of the specialized-services-led economy, particularly the new finance and corporate services complex, engenders what may be regarded as a new economic regime because although this sector may account for only a fraction of the economy of a city, it imposes itself on that larger economy. One of these pressures is toward polarization, as is the case with the possibility for superprofits in finance or in high-end real-estate development, which contributes to the devalorization of manufacturing, low-value-added services, and mid-income housing construction, insofar as these sectors cannot generate superprofits. The superprofit-making capacity of many of the leading industries is embedded in a complex combination of new trends: technologies that make possible the hypermobility of capital at a global scale and the deregulation of multiple markets that allows for implementing that hypermobility; financial inventions such as securitization, which liquefies hitherto illiquid capital and allows it to circulate and hence make additional profits. The increasing complexity and specialization of the corporate services involved have contributed to their valorization, as illustrated in the unusually high salary increases beginning in the 1980s for top-level professionals. Globaliza-

tion further adds to the complexity of these services, their strategic character, and their glamour, and therewith to their overvalorization.

The presence of a critical mass of firms with extremely high profit-making capabilities contributes to the bidding up of the prices of commercial space, industrial services, and other business needs, thereby making the survival of firms with moderate profit-making capabilities increasingly precarious. And whereas these firms are essential to the operation of the urban economy and the daily needs of a city, their economic viability is threatened in a situation in which finance and specialized services can earn superprofits. High prices and high profit levels in the internationalized sector and its ancillary businesses, such as top-of-the-line restaurants and hotels, make it increasingly difficult for other sectors to compete for space and investments. Many of those other sectors have experienced considerable downgrading and/or displacement—for example, modest neighborhood shops being replaced by upscale boutiques and restaurants catering to the new high-income urban elite.

Inequality in the profit-making capabilities of different sectors of the economy has always existed. But what we see happening today takes place on another order of magnitude and is engendering massive distortions in the operations of various markets, including housing and labor. For example, the income polarization among firms and among households contributes, in my reading (Sassen 2001, chap. 9), to the informalization of a growing array of economic activities in advanced urban economies. When firms with low or modest profit-making ca-

capacities experience an ongoing, if not increasing, demand for their goods and services from households and firms in a city in which a significant sector of the economy makes superprofits, they often cannot compete even though there is an effective demand for what they produce. Operating informally is often one of the few ways in which such firms can survive—for example, by using space not zoned for commercial or manufacturing uses, such as a basement in a residential area, or space that is not up to code in terms of health, fire, and other workplace standards. Similarly, new firms in low-profit industries entering a strong market for their goods and services may be able to do so only informally. Another option for firms with limited profit-making capabilities is to subcontract part of their work to informal operations.¹⁶ The recomposition of the sources of growth and profit making entailed by these transformations also contributes to a reorganization of some components of social reproduction or consumption. The rapid growth of industries with strong concentrations of high- and low-income jobs has assumed distinct forms in the consumption structure, which in turn has a feedback effect on the organization of work and the types of jobs being created. The expansion of the high-income workforce in conjunction with the emergence of new cultural forms has led to a process of high-income gentrification that rests, in the last analysis, on the availability of a vast supply of low-wage workers. In turn, the consumption needs of the low-income population in large cities are partially met by manufacturing and retail establishments which are small, rely on family labor, and often fail to meet minimum safety and health standards. Cheap, locally produced sweatshop garments, for example, can compete

with low-cost Asian imports. A growing range of products and services, from low-cost furniture made in basements to “gypsy cabs” and family day care, is available to meet the demand for the growing low-income population. In short, while the middle strata still constitute the majority, the conditions that contributed to their expansion and politico-economic power in the postwar decades—the centrality of mass production and mass consumption in economic growth and profit realization—have been displaced by new sources of growth. This replacement is at its sharpest in global cities.

We can think of these developments as constituting new geographies of centrality that cut across the old divide between poor and rich countries, and as constituting new geographies of marginality that have become increasingly evident not only in the less developed world but also within highly developed countries. In major cities in both the developed and the developing world we see a new geography of centers and margins that not only contributes to strengthening existing inequalities but also sets in motion a series of new dynamics of inequality. The new types of informalization evident in global cities are one such new dynamic (Venkatesh 2006; Buechler 2007). We can conceptualize informalization in advanced urban economies today as the systemic equivalent of what we call deregulation at the top of the economy (see Sassen 1998, chap. 8). Both the deregulation of a growing number of leading information industries and the informalization of a growing number of sectors with low profit-making capacities can be conceptualized as adjustments under conditions in which new economic developments and old regulations enter in growing tension.¹⁷ “Regula-

tory fractures" is one concept I have used to capture this condition and not reduce it to notions of crime and violation.

THE LOCALIZATIONS OF THE GLOBAL

Economic globalization, then, needs to be understood in its multiple localizations rather than only in terms of the broad, overarching macro-level processes that dominate the mainstream account. Furthermore, we need to see that some localizations do not generally get coded as part of the global economy. Here I want to focus on both recognized and on overlooked localizations of the global. The global city is one strategic instantiation of multiple localizations. Many of these localizations are embedded in the demographic transition evident in cities, where a majority of the resident workers are immigrants and/or women, often women of color. These cities are seeing an expansion of low-wage jobs that do not fit the master images of globalization yet are part of it. The fact that these jobs are largely held by immigrants, minoritized citizens, and disadvantaged women adds to their invisibility and contributes to the devalorization of this type of worker and work culture, and to the "legitimacy" of that devalorization.

This devaluing of workers in growth sectors is a rupture of the traditional dynamic whereby membership in leading economic sectors contributes to the empowerment of workers, a process long evident in Western industrialized economies. Women and immigrants come to replace the Fordist family-wage category of women and children (Sassen 1998, chap. 5; Ehrenreich and Hochschild 2003; Parreñas 2002).¹⁸ Economic restructuring in global cities, one of the localizations of global dynamics, has generated a large growth in the demand for low-

wage workers and for jobs that offer few possibilities of advancement. Women and immigrants emerge as the labor supply that facilitates the imposition of low-wages and powerlessness under conditions of high demand for those workers and the location of those jobs in high-growth sectors. It breaks the historic nexus that would have led to empowering workers and legitimates the break culturally. This is occurring amid an explosion in the wealth and power concentrated in global cities—that is, under conditions in which there is also a visible expansion in high-income jobs.

Another localization of this devaluing, one rarely associated with globalization, is informalization as discussed earlier. It reintroduces the community and the household as important economic spaces in global cities. In this setting informalization is the low-cost—and often feminized—equivalent of deregulation at the top of the system. As with deregulation (for example, financial deregulation), informalization introduces flexibility, reduces the "burdens" of regulation, and lowers costs—in this case, the costs of labor and workplace standards in particular. Informalization in major cities of highly developed countries (whether New York, London, Paris, or Berlin) can be seen as the downgrading of a variety of activities for which there is an effective demand. Informalization also brings with it a devaluing and enormous competition among poor workers, given low entry costs and few alternative forms of employment. Going informal is one way of producing and distributing goods and services at a lower cost and with greater flexibility. Immigrants and women, both important actors in the new informal economies of global cities, absorb the costs of informalization (see Sassen 1998, chap. 8; Buechler 2007).

The reconfiguration of economic spaces associated with globalization in major cities has had differential effects on women and men, male and female work cultures, and male- and female-centered forms of power and empowerment. The restructuring of the labor market brings with it a shift of labor-market functions to the household or the community. Women and households emerge as sites that should be part of the theorization of the particular social forms produced by these economic dynamics. In contrast, Fordism and mass production generally moved paid work away from women and households. Notwithstanding their many negative features, these transformations contain possibilities, even if limited, for the autonomy and empowerment of women. For instance, we might ask whether the growth of informalization in advanced urban economies reconfigures some economic relationships between men and women. With informalization the neighborhood and the household reemerge as sites for economic activity. This condition has its own dynamic possibilities for women. Economic downgrading through informalization creates "opportunities" for low-income female entrepreneurs and workers and thereby reconfigures some of the work and household hierarchies that women find themselves in, particularly for immigrant women from countries with rather traditional male-centered cultures. There is a large literature showing that immigrant women's paid work and their improved access to other public realms affect their gender relations (Fernandez-Kelly and Shefner 2005; Kofman et al. 2000; Ribas-Mateos 2005).

Immigrant women gain greater relative personal autonomy and independence while men lose ground. They gain more control over budgeting and other domestic decisions and greater

leverage in requesting that men help with domestic chores. Besides the relatively greater empowerment of women in the household associated with waged employment, there is a second important outcome: their greater participation in the public sphere and their possible emergence as public actors. They are the ones in the family who access public services. This gives them a chance to become incorporated into the mainstream society and be the ones who mediate between the household and the state. There are two public arenas in which immigrant women are active: institutions for public and private assistance and the immigrant or ethnic community (Chinchilla and Hamilton 2001). For example, Hondagneu-Sotelo (1994) found that immigrant women come to assume more active public and social roles, further reinforcing their status in the household and the settlement process. Women are more active than men in community building and community activism, and they are positioned differently from men with regard to the broader economy and the state (Moghadan 2005). They are most likely the ones who deal with the legal vulnerability of the family in the process of seeking public and social services. This greater participation by women suggests the possibility that they may emerge as more forceful and visible actors. There is, to some extent, a joining of two dynamics in the condition of these segments of the low-income female workforce in global cities. On the one hand they are constituted as an invisible and disempowered class of workers in the service of the strategic sectors of the global economy (Ehrenreich and Hochschild 2003). This invisibility keeps them from emerging as whatever would be the contemporary equivalent of the "labor aristocracy" of earlier forms of economic organization, in which a low-

wage worker's position in leading sectors had the effect of empowering that worker (it allowed for the possibility of unionizing). On the other hand the access to (albeit low) wages and salaries, the growing feminization of the job supply, and the growing feminization of business opportunities as a consequence of informalization alter the gender hierarchies in which women find themselves (Buechler 2007).¹⁹

It is likely that some women benefit more than others from these circumstances; we need more research to establish the impact of class, education, and income on these gendered outcomes (see, for example, Chesney-Lind and Hagedorn 1999).

THE GLOBAL CITY: A NEXUS FOR NEW POLITICO-ECONOMIC ALIGNMENTS

What makes the processes described above strategic, even though they involve powerless and often invisible workers, is that these global cities are also the strategic sites for the valorization of the new forms of global corporate capital, as described in the first section of this chapter. Typically the analysis of the globalization of the economy privileges the reconstitution of capital as an internationalized presence; it emphasizes the vanguard character of this reconstitution. At the same time it remains absolutely silent about another crucial element of transnationalization, one that some, like me, see as the counterpart of capital: the transnationalization of labor beyond top-level professionals. We are still using the language of immigration to describe low-wage transnational workers.²⁰ That analysis also overlooks the transnationalization in the formation of identities and loyalties among various population segments that explicitly reject the imagined community of the nation.

With this rejection come new solidarities and notions of membership. Major cities have emerged as strategic sites for both the transnationalization of labor and the formation of transnational identities. In this regard, they form a site for new types of politics, including new kinds of transnational politics.

Cities are the terrain on which people from many countries are most likely to meet and a multiplicity of cultures can come together. The international character of major cities lies not only in their telecommunications infrastructure and international firms; it lies also in the many cultural environments in which their workers exist. One can no longer think of centers of international business and finance simply in terms of their corporate towers and their corporate culture. The large Western city of today concentrates diversity. Its spaces are inscribed with the dominant corporate culture but also with a multiplicity of other cultures and identities. The slippage is evident: the dominant culture can encompass only part of the city.²¹ And while corporate power inscribes these cultures and identities with "otherness," thereby devaluing them, they are present everywhere. For example, through immigration a proliferation of originally highly localized cultures has become a presence in many large cities. An immense array of cultures from around the world, each rooted in a particular country or village, is now reterritorialized in a few places, such as New York, Los Angeles, Paris, London, Amsterdam, and most recently, Tokyo.²² Today's global cities are in part the spaces of postcolonialism and indeed contain conditions for the formation of a postcolonialist discourse (see, for example, Stuart Hall 1991; King 1990; Ribas-Mateos 2005; Tsuda 1999).²³

Immigration and ethnicity are too often constituted as oth-

erness. Understanding them as a set of processes whereby global elements are localized, international labor markets are constituted, and cultures from all over the world are deterritorialized, puts them right there at centerstage, along with the internationalization of capital, as a fundamental aspect of globalization today. Furthermore, this way of narrating the migration events of the postwar era captures the ongoing weight of colonialism and postcolonial forms of empire on major processes of globalization today, specifically those binding emigration and immigration countries (see Chapter Five). While the specific genesis and content of their responsibility will vary from case to case and period to period, none of the major immigration countries are innocent bystanders: their past as colonial powers in many of today's emigration countries lives on (Sassen 1988, 1999c). The centrality of global cities in immigration, including their role as a postcolonial frontier, engenders a transnational economic and political opening in the formation of new claims by immigrants and minoritized citizens (Hamilton and Chinchilla 2001; Farrer 2007; Stasiulis and Yuval-Davis 1995). Global cities have emerged as a site for claims by both global capital, which uses the city as an "organizational commodity," and disadvantaged sectors of the urban population, which are frequently as internationalized a presence in large cities as capital.

I see this as a type of political opening that contains unifying capacities across national boundaries and sharpening conflicts within those boundaries. Global capital and the new immigrant workforce are two major transnational categories, each with unifying properties internally and in contestation with each other in global cities. The leading sectors of corpo-

rate capital are now global in both their organization and their operations. And many of the disadvantaged workers in global cities are women, immigrants, and people of color, groups with a mostly troubled relation to the national state (Chatterjee 1993, chaps. 1, 6, and 7; Crenshaw et al. 1996; Geddes 2003; Schiffauer et al. 2006). The global city is a strategic site for their economic and political operations.

The linking of people to territory as constituted in global cities is less likely to be intermediated by the national state or the "national culture" than in other types of locations, such as suburbs or small towns. In global cities, the loosening of identities from their traditional sources, notably the nation or the village (Yaeger 1996; Nashashibi 2007), can engender new notions of community of membership and entitlement. Yet another way of thinking about the political implications of this strategic transnational space is the notion of the formation of new claims on that space. Economic globalization has partially shaped the formation of new claims, and thereby new entitlements, a process that is much clearer in the case of foreign firms than that of immigrants.²⁴

Foreign firms and international businesspeople are among the new "city users" (Martinotti 1993) that have profoundly marked the urban landscape. Perhaps at the other extreme are those who use urban political violence to make their claims on the city, claims that lack the de facto legitimacy enjoyed by international businesspeople (Body-Gendrot 1999; Hagedorn 2006). These are claims made by actors struggling for recognition, entitlement, and their rights to the city.²⁵ There is something to be captured here: a distinction between powerlessness and the condition of being an actor or political subject even

though one lacks power. I use the term *presence* to name this condition. In the context of a strategic space such as the global city, the types of disadvantaged people described here are not simply marginal; they acquire presence in a broader political process that escapes the boundaries of the formal polity. This presence signals the possibility of a politics. What that politics will be depends on the specific projects and practices of various communities (Drainville 2004; Bartlett 2007). Insofar as the sense of membership of these communities is not subsumed under the national, it may well signal the possibility of a transnational politics centered in concrete localities.

CONCLUSION

Large cities around the world are the terrain on which a multiplicity of globalization processes assume concrete, localized forms. These forms are in good part what globalization is about. If we consider further that a growing share of disadvantaged populations—immigrants in Europe and the United States, African Americans and Latinos in the United States, rural migrants in Asia, masses of shanty dwellers in the megacities of the developing world—are concentrated in large cities, then we can see that cities have become strategic spaces where a series of conflicts and contradictions take place. We can then think of cities also as one of the sites where the contradictions of the globalization of capital can play out. On the one hand large cities concentrate a disproportionate share of corporate power and are one of the key sites for the overvalorization of the corporate economy; on the other hand they concentrate a disproportionate share of the disadvantaged and are one of the key sites for their devalorization. This joint presence happens

in a context where, first, the transnationalization of economies has grown sharply and cities have become increasingly strategic for global capital and, second, marginalized people have found their voice and are making their own claims on the city. This joint presence is further brought into focus by the sharpening of the distance between the two.

The enormity of the urban experience, the overwhelming presence of massive architectures and dense infrastructures, as well as the irresistible utility logics that organize much of the investments in today's cities, have produced displacement and estrangement among many individuals and whole communities. Such conditions unsettle older notions and experiences of the city generally and public space in particular. While the monumentalized public spaces of European cities remain vibrant sites for rituals and routines, for demonstrations and festivals, increasingly the overall sense is of a shift from civic to politicized urban space, with fragmentations along multiple differences.

The space constituted by the worldwide grid of global cities, a space with new economic and political potentialities, is perhaps one of the most strategic spaces for the formation of new types of politics, identities, and communities, including transnational ones. This is a space that is place-centered in that it is embedded in particular and strategic sites, and transteritorial in that it connects sites that are not geographically proximate yet are intensely connected to one another. It is not only the transmigration of capital that takes place on this global grid but also that of people, both rich (such as the new transnational professional workforce) and poor (most migrant workers), and it is a space for the transmigration of cultural forms,

or the reterritorialization of "local" subcultures. An important question is whether it is also a space for a new politics, one going beyond the politics of culture and identity, though at least in part likely to be embedded in them. The analysis presented in this chapter suggests that it is.

The centrality of place in a context of global processes engenders a transnational economic and political opening in the formation of new claims and hence in the constitution of entitlements—notably, rights to place—and, ultimately in the constitution of new forms of "citizenship" and the diversifying of citizenship practices. The global city has emerged as a site for new claims: by global capital and the new city users, and by disadvantaged sectors of the urban population, frequently as internationalized a presence in large cities as the former. The denationalizing of urban space and the formation of new claims centered in transnational actors and involving contestation constitute the global city as a frontier zone for a new type of engagement.

Chapter Five

THE MAKING OF INTERNATIONAL MIGRATIONS

AS WITH THE STATE AND THE CITY, incorporating international migrations into a sociology of globalization entails engaging a vast scholarship that is not particularly focused on globalization.¹ Furthermore, it entails contesting a very different type of scholarship, as yet minor but growing fast, that seems to assume that we have immigrations because of globalization, an assumption it arrives at not through knowledge about migrations but by projecting standard globalization notions onto migration. While the first scholarship is a critical source of data and research techniques that need to be incorporated into sociological studies of globalization, the second is extremely problematic and to be avoided.

Cross-border migrations existed long before the current phase of globalization. Thus the task is to understand in what ways and under what conditions today's many migrations are or are not shaped by, grounded in, or merely inflected by globalization. The rich migration scholarship shows us, for instance, that transnational networks between sending and receiving countries were already part of many migration flows centuries ago. The content and modes of communications and transactions in the past may have differed sharply from today's, but the actual social fact was present in the past. Similarly, the

Chapter Seven

LOCAL ACTORS IN GLOBAL POLITICS

GLOBALIZATION AND THE NEW ICTs have enabled a variety of local political actors to enter international arenas that were once exclusive to national states. Numerous types of claim making and oppositional politics articulate these developments. Going global has been facilitated and conditioned in part by the infrastructure of the global economy even as that infrastructure has often been the object of oppositional politics. Most important in my analysis, the possibility of global imaginaries has enabled even those who are geographically immobile to become involved in global politics (see also Chapter 6). In brief, NGOs and indigenous peoples, immigrants and refugees who become the subject of adjudication in human rights decisions, human rights and environmental activists, and many others are increasingly becoming actors in global politics.

That is, nonstate actors can enter and gain visibility in international forums or global politics as individuals and collectivities, emerging from the invisibility of aggregate membership in a nation-state that is exclusively represented by a sovereign. This new process can be interpreted in terms of an incipient unbundling of the exclusive authority over territory and people that has long been associated with the national state. The most strategic instantiation of this unbundling is probably the global city, which operates as a partially denation-

alized platform for global capital and is also emerging as a key site for the coming together of the most astounding mix of people from all over the world as discussed in Chapter 4. The growing intensity of transactions among major cities is creating a strategic cross-border geography that partially bypasses national states. The new network technologies further strengthen these transactions, whether they are electronic transfers of specialized services among firms or Internet-based communications among the members of globally dispersed diasporas and civil society organizations. The new ICTs, especially the public-access Internet, have actually strengthened this politics of places and have expanded the geography for civil society actors beyond the strategic networks of global cities to include often peripheral localities.

Together these various trends have enabled the shaping of a politics of places on global networks. This global politics of places also functions as a critical infrastructure for the embedding of global civil society. A key question organizing this chapter concerns the ways in which localized actors and struggles actually constitute these new types of global politics and subjectivities. The argument is that local actors, even when geographically immobile and resource-poor, can contribute to the formation of global domains or virtual public spheres, and thereby to a type of local political subjectivity that needs to be distinguished from what we would usually consider local. The new ICTs are important. But, as I will discuss, they are important given two conditions. One condition is the existence of social networks, and it is here that the cross-border geographies connecting places, especially global cities, can be critical in that they provide conducive environments for the growth of

such social networks. The second condition, one often overlooked in the emerging scholarship on the subject, is the extensive organizing and development of adequate technical infrastructures and software necessary to enable disadvantaged actors to use the new ICTs. Civil society organizations and individuals have played crucial roles in the work of adapting global North technologies to global South conditions. The result has been that particular instantiations of the local can actually be constituted at multiple scales and can thereby be part of global formations that tend toward lateralized and horizontal networks. These differ from the vertical and hierarchical forms typical of major global actors, such as the IMF and the WTO. I examine these issues with a focus on various political practices and technologies, partly because they remain understudied and misunderstood in the social sciences. Such a focus also takes the analysis beyond the new geographies of centrality constructed through the network of the forty or so global cities in the world today examined in Chapters Two and Four. It accommodates the possibility that even rather peripheralized locations can become part of global networks.

These developments contribute to distinct kinds of political practices and subjectivities. The chapter examines two dynamics that come together in producing these new types of politics and subjectivities. One is the ascendance of subnational and transnational spaces and actors, examined in the first section. The other is that the new ICTs have enabled local actors to become part of global networks, the subject of the second and third sections. The concluding section examines the implications of these developments for political subjectivity.

MICROSPACES AND ACTORS IN GLOBAL CIVIL SOCIETY

Cities and the new strategic geographies that connect them and bypass national states can be seen as constituting part of the infrastructure of global domains, including global civil society. They do so from the ground up, through multiple microsites and microtransactions. Among the actors in this political landscape are a variety of organizations focused on transboundary issues, such as immigration, asylum, international women's agendas, and anti-globalization struggles. While these organizations are not necessarily urban in their orientation or genesis, they tend to converge in cities. The new network technologies, especially the Internet, ironically have strengthened the urban map of transboundary networks. It does not have to be that way, but at this time cities and the networks that bind them function as an anchor and an enabler of cross-border struggles. Global cities, then, are thick enabling environments for these types of activities even when the networks are not urban per se. In this regard, global cities help people experience themselves as part of global nonstate networks in their daily lives. They enact some version of the global in the microspaces of daily life rather than on some putative global stage.

A key nexus in this configuration is that the weakening of the exclusive formal authority of states over national territory facilitates the ascendance of sub- and transnational spaces and actors in politico-civic processes. These spaces and actors include those confined to the national domain, which can now become part of global networks; these are novel spaces that have evolved in the context of globalization and the new ICTs. As discussed in Chapter Two, the loss of power at the national

level produces the possibility of new forms of power and politics at the subnational and supranational levels. The national as container of social process and power is cracked (Taylor 2000; Abu-Lughod 1999b). This cracked casing opens up a geography of politics and civics that links subnational spaces. Cities are foremost in this new geography. The density of political and civic cultures in large cities enables the localizing of global civil society in people's lives (see, for example, Bartlett 2007).

As discussed in the preceding chapters, the organizational side of the global economy materializes in a worldwide grid of strategic places, uppermost among which are major international business and financial centers. We can think of this global grid as constituting a new economic geography of centrality, one that cuts across both national boundaries and, increasingly, the old North-South divide. It has emerged as a transnational space for the formation of new claims by global capital. The question here is whether other types of actors are also enabled to make claims in this new transnational geography of centrality and, if they are, whether they are constituting alternative political geographies.

Economic globalization and telecommunications have contributed to the production of an urban space that pivots on deterritorialized cross-border networks and territorial locations with massive concentrations of resources. This is not a completely new feature. Over the centuries cities have been at the intersection of processes with supraurban and even intercontinental scaling. Ancient Athens and Rome, the cities of the Hanseatic League, Genoa, Venice, Baghdad, Cairo, Istanbul—all were at the crossroads of major dynamics in their time (Braudel 1984). What is different today is the coexistence of

multiple networks and their intensity, complexity, and global span. Those features have served to increase the number of cities that are part of cross-border networks operating on often vast geographic scales. Under these conditions much of what we experience and represent as the local level turns out to be a microenvironment with global span.

The new urban spatiality thus produced is partial in a double sense: it accounts for only part of what happens in cities and what cities are about, and it inhabits only part of what we might think of as the space of the city, whether this is understood in terms of a city's administrative boundaries or in the sense of the public life of a city's people. It is, nonetheless, one way in which cities can become part of the living infrastructure of global civil society. But cities and their global networks also enable the operations of militant, criminal, and terrorist organizations. Globalization, telecommunications, and flexible loyalties and identities facilitate the formation of cross-border geographies for an increasing range of activities and communities of membership. The evidence that has emerged since the terrorist attacks of September 11, 2001, has made it clear that the global financial system also served the terrorists' purposes and that several major cities in Europe were key bases for Osama bin Laden's al Qaeda network. Several other militant organizations have set up an international network of bases in various cities. For instance, London has been a key base for the international secretariat of Sri Lanka's Liberation Tigers of Tamil Eelam, and cities in France, Norway, Sweden, Canada, and the United States are home to their various centers of activity. In addition, al Qaeda is known to have established a support network in Great Britain, run from an office in London

called the Advice and Reformation Committee, which was founded in July 1994 and has since been closed. (For more details, see the description of al Qaeda in Anheier, Glasius, and Kaldor 2002, chap. 1.)

We might conceive of these networked spaces as assemblages of networks/platforms, territorial insertions, multiple transactions, and diverse users in play. These conditions point to the enormous capabilities of these technologies, but also to their limitations. Such assemblages are not formal entities. It is in good part the social logics of users and actors that contribute to the outcomes. The mixing of these social logics with the technologies can, in principle, produce very diverse assemblages and projects. These will not inevitably globalize users and eliminate their articulation with particular localities, but they can make globality a working resource. Complex assemblages can capture global social and political capital, and they can "house" this capital. In that sense they are more than simply a political act. The space constituted by the worldwide grid of global cities can function as such an assemblage. One particular form of social and political capital it can capture for the disadvantaged or less powerful is a variety of types of transnationalisms and politics that deborder the nation-state.

PEOPLE'S NETWORKS: MICROPOLITICS FOR GLOBAL CIVIL SOCIETY

The cross-border network of global cities is a space in which we are seeing the formation of new types of global politics of place that contest corporate globalization, environmental and human rights abuses, and so on. The demonstrations by the "alter-globalization" movement signal the potential for devel-

oping a politics centered on places understood as locations on global networks. This is a place-specific politics with a global span. It is a type of political work deeply embedded in people's actions and activities but made possible in part by the existence of global digital links. These links are mostly organizations operating through networks of cities and involving informal political actors—that is, actors who are not necessarily engaging in politics as narrowly defined citizens, for whom voting is the most formalized type of citizen politics. Among the informal political actors are women who engage in political struggles in their condition as mothers, anti-globalization activists who go to a foreign country as tourists but to do citizen politics, and undocumented immigrants who join protests against police brutality.

These practices constitute a specific type of global politics, one that runs through localities and is not predicated on the existence of global institutions. The engagement can be with global institutions, such as the IMF or the WTO, or with local institutions, such as a particular government or local police force charged with human rights abuses. Theoretically this type of global politics illuminates the distinction between a global network and the actual transactions that constitute it: the global character of a network does not necessarily imply that its transactions are equally global or that they all have to happen at the global level. It shows the local to be multiscalar.

Computer-centered technologies have made a significant difference.¹ The public-access Internet matters not only because of low-cost connectivity and the possibility of effective use (via e-mail) even with low bandwidth availability, but also and most important because of some of its key features. Simul-

taneous decentralized access can give local actors a sense of participation in struggles that are not necessarily global but are globally distributed in that they recur in locality after locality. Thus the technology can also help in the formation of cross-border public spheres for these types of actors, and it can do so without needing to run through global institutions² and using forms of recognition that do not depend on much direct interaction or on joint action on the ground. Among the implications of these options are the possibility of forming global networks that bypass central authority and—what is especially significant for resource-poor organizations—the possibility that those who may never be able to travel can nonetheless be part of global struggles and global publics.

Such forms of recognition are not historically new. Yet there are two matters that signal the need for empirical and theoretical work on their ICT-enabled forms. One is that much of the conceptualization of the local in the social sciences has assumed geographic proximity, and thereby a sharply defined territorial boundedness and the associated implied closure. The other, partly a consequence of the first, is a strong tendency to conceive of the local as part of a hierarchy of nested scales, especially once there are national states. To a very large extent, these conceptualizations hold for most of the instantiations of the local today and, more specifically, for most of the actual practices and formations likely to constitute the local in most of the world. But there are also conditions today that contribute to the destabilization of these practices and formations and hence invite a reconceptualization of the local that can accommodate a set of instances that diverge from dominant patterns. Key among these current conditions are globalization

and/or globality as constitutive not only of cross-border institutional spaces but also of powerful imaginaries enabling aspirations to transboundary political practice even when the actors involved are immobile. For instance, women have become increasingly active in this world of cross-border efforts. This has often meant the potential transformation of a whole range of “local” conditions or domestic institutional domains—such as the household, the community, or the neighborhood, where women find themselves confined to domestic roles—into political spaces. Women can emerge as political and civic subjects without having to step out of these domestic worlds (for example, Hamilton and Chinchilla 2001; Friedman 2005). From being lived or experienced as nonpolitical or domestic, these places are transformed into microenvironments with a global span (Naples and Desai 2002; Nash 2005). A community of practice can emerge that creates multiple lateral, horizontal communications, collaborations, solidarities, and supports.

The city is a far more concrete space for politics than the nation. It becomes a place where nonformal political actors can be part of the political scene in a way that is more difficult, though not impossible, at the national level (for example, Williamson, Alperovitz, and Imbroscio 2002). Nationally, politics needs to run through existing formal systems, whether the electoral system or the judiciary (taking state agencies to court). To do this, one needs to be a citizen. Nonformal political actors are thereby more easily rendered invisible in the space of national politics. The space of the city accommodates a broad range of political activities—squatting, demonstrating against police brutality, fighting for the rights of immigrants and the homeless—and a broad range of issues—such as the

politics of culture and identity or gay and lesbian and queer politics. Much of this becomes visible on the street. Much of urban politics is concrete, enacted by people rather than dependent on massive media technologies. Street-level politics makes possible the formation of new types of political subjects that do not have to go through the formal political system.

It is in this sense that those who lack power and are “unauthorized”—that is, unauthorized immigrants, those who are disadvantaged, outsiders, and discriminated-against minorities—can gain *presence* in global cities, vis-à-vis power and one another (Sassen 2002b). A good example of this was the Europe-wide demonstrations of largely “Turkish” Kurds in response to the arrest of Abdullah Ocalan: suddenly they were on the map not only as an oppressed minority but also as a diaspora in their own right, distinct from the Turks. For me, this phenomenon signals the possibility of a new type of politics centered in new types of political actors. It is not simply a matter of having or not having power. Now there are new hybrid bases from which to act. A growing number of organizations are largely focused on a variety of grievances of powerless groups and individuals. Some are global and others national. Although powerless, these individuals and groups are acquiring a presence on a broader politico-civic stage.³

One of the characteristics of the type of organization discussed here is that it engages in “noncosmopolitan” forms of global politics. Partly enabled by the Internet, activists can develop global networks not only for circulating information (about environmental, housing, political, and other issues) but also for engaging in political work and executing strategies. Yet they remain grounded in specific issues and are often fo-

cused on their localities even as they operate as part of global networks. There are many examples of this new type of cross-border political work. For instance, SPARC (Society for the Promotion of Area Resource Centers), started by and focused on women, began as an effort to organize slum dwellers in Mumbai to obtain housing. Now it has a network of groups throughout Asia and in some cities in Latin America and Africa. The focus is local, and so are the participants and those whom they seek to reach, usually local governments. The various organizations making up the broader network do not necessarily gain power or material resources from global networking, but they gain strength for themselves and for their negotiations with the agencies to which they present their demands. This is one of the key forms of critical politics that the Internet can make possible: a politics of the local with a big difference in that the localities are connected with one another across a region, a country, or the world. Although the network is global, its constitutive events are local.

USING THE NEW ICTs

Computer-centered interactive technologies have played an important role in the making of global settings and global imaginaries. These technologies facilitate multiscalar transactions and simultaneous interconnectivity. They can be used to further develop old strategies (for example, Tsaliki 2002; Lannon 2002) and to develop new ways of organizing, notably, electronic activism (Monberg 1998; Bousquet and Wills 2003; Denning 2001; Peter J. Smith 2001; Yang 2003). Non-Web-based Internet media are the main type of ICT used for organizing. E-mail is perhaps the most widely used medium, partly

because organizations in the global South often have narrow bandwidth and slow connections, making the Web a far less usable and effective option. To achieve the forms of globality that concern me in this chapter, it is important that there be a recognition of these constraints among major transnational organizations dealing with the global South: for instance, this means making text-only databases, with no visuals or hypertext markup language, no spreadsheets, and none of the other facilities that demand considerable bandwidth and fast connections (for example, Pace and Panganiban 2002, 113; on workspaces generally, see Bach and Stark 2005; Sack 2005).⁴

As has been widely recognized by now, new ICTs do not simply replace existing media techniques. (For a variety of issues, see Woolgar 2002; Thrift 2005; Lievrouw and Livingstone 2002; Elmer 2004; Coleman 2004). The evidence is far from systematic, and the object of study is continuously undergoing change. But we can identify two basic patterns. On the one hand there might be no genuine need for these particular technologies given the nature of the organizing effort, or the technologies might be underutilized (for studies of particular organizations, see Tsaliki [2002], Cederman and Kraus [2005]).⁵ For instance, a survey of local and grassroots human rights NGOs in several regions of the world found that the Internet makes the exchange of information easier and is helpful in developing other kinds of collaboration, but it does not help to launch joint projects (Lannon 2002, 33). On the other hand, there are highly creative ways of using the new ICTs, along with older media, that recognize the needs of particular communities (Dean et al. 2006). A good example is using the Internet to send audio files that can be broadcast over

loudspeakers to groups who lack access to the Internet or are illiterate. The M. S. Swaminathan Research Foundation in southern India has supported this type of strategy by setting up Village Knowledge Centers catering to populations that although mostly illiterate, know exactly what type of information they need or want. When we consider mixed uses, it becomes clear that the Internet can often fulfill highly creative functions when used with other technologies, whether old or new. Thus Amnesty International's International Secretariat has set up an infrastructure to collect electronic news feeds via satellite, which it then processes and redistributes to its staff workstations (Lebert 2003).

But there is also evidence that use of these technologies has led to the formation of new types of organizations and activism, especially with some of the more recent inventions such as peer-to-peer and wiki technologies. For instance, Yang (2003) found that what were originally exclusively online discussions among groups and individuals in China concerned with the environment evolved into active NGOs. Furthermore, one result of this genesis is that their membership is national, distributed among different parts of the country. The variety of online activism examined by Denning (1999) involved largely new types. To mention what is perhaps one of the most widely known cases of how the Internet made a strategic difference, the Zapatista movement became two organizational efforts, one a local rebellion in Mexico, the other a transnational civil society movement. The civil society movement involved the participation of multiple NGOs concerned with peace, trade, human rights, and other struggles for social justice. It worked through both the Internet and conventional media (Cleaver 1998; Ar-

quilla and Ronfeld 2001) to put pressure on the Mexican government. What is important is that it shaped a new concept for civil organizing: multiple rhizomatically connected autonomous groups (Cleaver 1998; but see Bennett 2003).

What is far less known is that the local rebellion of the Zapatistas operated basically without e-mail infrastructure (Cleaver 1998). Subcomandante Marcos was not on e-mail, let alone able to join collaborative workspaces on the Web. Messages had to be hand-carried across military lines to be put on the Internet; furthermore, not all the solidarity networks themselves had e-mail, and local communities sympathetic to the struggle often had problems with Internet access (Mills 2002, 83). Yet Internet-based media did contribute to the movement enormously, in good part because of preexisting social networks (in this regard see also Garcia 2002). Among the electronic networks involved, LaNeta played a crucial role in globalizing the struggle. LaNeta is a civil society network established with support of a San Francisco-based NGO, the Institute for Global Communications (IGC). In 1993 LaNeta became a member of the Association for Progressive Communications (APC) and began to function as a key connection between civil society organizations in and outside Mexico. In this regard, it is interesting to note that a local movement made LaNeta into a transnational information hub.

There is little doubt that the gathering, storage, and dissemination of information are crucial functions for these kinds of organizations (Carrie A. Meyer 1997; Tuijl and Jordan 1999; Bach and Stark 2005; but see also Bowker and Starr 1999). Human rights, large development, and environmental organizations are at this point the leaders in the effort to build online

databases and archives. (See, for example, the Web sites of Human Rights Internet, Greenpeace, and Oxfam International).⁶ Oxfam has also set up knowledge centers on its Web site—specialized collections devoted to particular issues, such as the land rights in Africa—and a related resources bank (Warkentin 2001, 136). Specialized campaigns such as those opposing the WTO; advocating banning land mines, or canceling the debt of hyperindebted poor countries (the Jubilee 2000 campaign), have also been effective at building online databases, and developing tools for using ICTs (Donk et al. 2005).

Software can also be designed to address specific needs of organizations or campaigns. For example, HR Information and Documentation Systems International (HURIDOCs), a transnational network of human rights organizations, aims at improving access to, and dissemination and use of, human rights information. It runs a program to develop tools, standards, and techniques for documenting violations. The evidence on NGO use of Internet media also shows the importance of institutional mechanisms and the use of appropriate software. Amnesty International has set up an institutional mechanism to help victims of human rights abuses use the Internet to contact transnational organizations for help: its Urgent Action Network is a worldwide e-mail alerting system with seventy-five networks of letter-writing members who respond to urgent cases by immediately sending e-mail messages to key and pertinent entities.⁷

THE FORGING OF NEW POLITICAL SUBJECTS:

THE MULTISCALAR POLITICS OF LOCAL ACTORS

The technical and political resources discussed so far facilitate a new type of cross-border politics, one centered in multiple lo-

calities yet intensely connected digitally (Mills 2002; Kuntze, Rottmann, and Symons 2002; Whittell 2001). Adams (1996), among others, shows us how telecommunications create new links across space that underline the importance of networks of relations and partly bypass older hierarchies of scale. Activists can develop networks for circulating place-based information—that can become part of the political work and strategies addressing a global condition—the environment, growing worldwide poverty and unemployment, the lack of accountability among multinationals, and so on. The issue here is not so much the possibility of such political practices: they have long existed even though with other media and other velocities. The issue is rather one of orders of magnitude, scope, and simultaneity: the technologies, the institutions, and the imaginaries that mark the current global digital context inscribe local political practice with new meanings and new potentialities.⁸

There are many examples that illustrate the fact of new possibilities and potentials for action. Besides some of the cases already discussed, there is the vastly expanded repertory of actions that can be taken when electronic activism is also an option. The New Tactics in Human Rights project of the Center for Victims of Torture has compiled a workbook containing 120 anti-torture tactics, including exclusively online forms of action.⁹ The Web site of the New York-based Electronic Disturbance Theater, a group of cyberactivists and artists, contains detailed information about electronic repertoires for action.¹⁰ The International Campaign to Ban Landmines, officially launched in 1992 by six NGOs in the United States, France, the United Kingdom, and Germany, evolved into a coalition of

over 1,000 NGOs in 60 countries. It succeeded when 130 countries signed the Mine Ban Treaty in 1997 (Williams and Goose 1998). The campaign used both traditional techniques and ICTs. Internet-based media provided mass distribution more effectively and more cheaply than telephone and fax (Matthew J. O. Scott 2001; Rutherford 2002). Jubilee 2000 used the Internet to great effect: its Web site brought together all the information on debt and campaign work considered necessary for the effort, and information was distributed via Majordomo list management, databases, and e-mail address books.¹¹ Generally speaking, preexisting online communications networks are important for e-mail alerts aimed at rapid mobilization. Distributed access is crucial: once an alert enters the network from no matter what point of access, it spreads quickly through the network. Amnesty's Urgent Action Network is such a system. However, anonymous Web sites are also part of such communication networks. An example is s11.org, a Web site that can be used for worldwide mobilizations insofar as it is part of multiple online communications networks. The Melbourne mobilization against the September 2000 Asia Pacific Economic Summit of the WEF brought activist groups from around Australia together on this site to coordinate their actions, which succeeded in paralyzing a good part of the gathering, a first in the history of the WEF meetings (Redden 2001). There are by now several much-studied mobilizations that were organized online; the protest of the WTO in Seattle in 1999 and the anti-Nike campaign are two of the best known (see generally Khagram et al. 2002; Donk et al. 2005).¹²

An important feature of this type of multiscalar politics of the local is that it is not confined to moving through a set of

nested scales from the local to the national to the international but can directly access other local actors whether in the same country or across borders. One Internet-based technology that reflects this possibility of escaping nested hierarchies of scale is the online workspace, often used for Internet-based collaboration. Such a space can constitute a community of practice (Sharp 1997) or a knowledge network (Creech and Willard 2001). An example of an online workspace is the Sustainable Development Communications Network, also described as a knowledge space (Kuntze, Rottmann, and Symons 2002), set up by a group of civil society organizations in 1998; it is a virtual, open, and collaborative organization aiming at engaging in joint communications activities to inform broader audiences about sustainable development and build members' capacities to use ICT effectively. Its trilingual SD Gateway, which integrates and showcases members' communication efforts, contains links to thousands of member-contributed documents, a job bank, and mailing lists on sustainable development. It is one of several NGOs whose aim is to promote civil society collaboration through ICTs; among others are the APC, OneWorld.net, and Bellanet.

This possibility of exiting or avoiding hierarchies of scale does not preclude the fact that powerful actors can use the existence of different jurisdictional scales to their advantage (Morrill 1999) and that local resistance is constrained by how the state deploys scaling through jurisdictional, administrative, and regulatory orders (Judd 1998). On the contrary, it might well be that the conditions analyzed by Morrill and Judd, among others, force the issue, so to speak. Why work through the power relations that are shaped into state-centered hierar-

chies of scale? Why not jump ship if that is an option? This combination of conditions and options is well illustrated by research showing how the power of national governments can subvert the legal claims of first-nation people (Howitt 1998; Silvern 1999), which has in turn increasingly led those people to seek direct representation in international forums, bypassing the national state.¹³ In this sense, then, my effort here is to recover a particular type of multiscale context, one characterized by direct local-global transactions or by a multiplication of local transactions as part of global networks. Neither type is marked by nested scalings.

There are many examples of such types of cross-border political work. We can distinguish two forms of it, each capturing a specific type of scalar interaction. In one the scale of struggle remains the locality, and the object is to engage local actors—for example, a local housing or environmental agency—but with the knowledge and explicit or tacit invocation of multiple localities around the world engaged in similar localized struggles with similar local actors. It is this combination of multiplication and self-reflexivity that contributes to the constitution of a global condition from these localized practices and rhetorics. It means, in a sense, taking Kevin Cox's notion of scaled "spaces of engagement" constitutive of local politics and situating it in a specific type of context, not necessarily the one Cox himself might have had in mind. Beyond the fact of relations between scales as being crucial to local politics, it is perhaps the social and political construction itself of scale as social action (Howitt 1993; Swyngedouw 1997; Brenner 1998) that needs emphasizing.¹⁴ Finally, and crucial to my analysis (Sassen 2006a, chap. 7), is the actual thick and partic-

ularized content of the struggle or dynamic that gets instantiated.

The other form of multiscalar interaction is one in which localized struggles are aimed at engaging global actors—for example, the WTO, the IMF, and multinational firms—either at the global scale or in multiple localities.¹⁵ A significant feature of this organizational form is the possibility of expanded decentralization and simultaneous integration. It parallels the analysis of the growth of global finance in Chapter 4—the articulation of the capital market with a growing network of financial centers. That the former relies on public access networks and the second on private dedicated networks does not alter this organizational outcome and its threshold effects: the possibility of constituting transboundary publics rather than merely global communications and information searches. Insofar as the network technologies strengthen and create new types of cross-border activities among nonstate actors, they enable a distinct and only partly digital condition variously referred to as global civil society, global publics, and commons. From struggles for human rights and the environment to workers' strikes and AIDS campaigns against the large pharmaceutical firms, the Internet has emerged as a powerful medium through which non-elites can create the equivalent of insider groups at scales going from the local to the global.¹⁶ The possibility of doing so transnationally at a time when a growing set of issues are seen as escaping the bounds of nation states makes this even more significant.

Yet another key scalar element here is that digital networks can be used by political activists to strengthen local transactions. Digital networks, primed to span the world, can actually

serve to intensify transactions among residents of a city or region; it can serve to make them aware of neighboring communities and help them gain an understanding of local issues that resonate positively or negatively with communities that are there in the same city rather than at the other end of the world (Riemens and Lovink 2002). Recovering the way the new digital technology can serve to support local initiatives and alliances inside a locality is conceptually important given the almost exclusive emphasis in the representation of these technologies on their global scope and deployment.¹⁷

Coming back to Howitt's (1993) point about constructing the geographic scales at which social action can occur, let me suggest that cyberspace, like the city, can be a more concrete space for social struggles than that of the national political system. It becomes a place where nonformal political actors can take part in politics in a way that is much more difficult in national institutional channels. Cyberspace can accommodate a broad range of social struggles and facilitate the emergence of new types of political subjects that do not have to go through the formal political system. Individuals and groups that historically have been excluded from formal political systems and whose struggles can be enacted in part outside those systems can find in cyberspace an enabling environment for their emergence as nonformal political actors, and for their struggles.

The mix of focused activism and local or global networks represented by the organizations described in this chapter creates conditions for the emergence of at least partly transnational identities. The possibility of identifying with larger communities of practice or membership can bring about the partial unmooring of identities referred to in the first section.

Although this identification does not necessarily neutralize attachments to a country or a national cause, it does shift the attachment to include translocal communities of practice and/or membership. This shift is a crucial building block for a global politics of localized actors—that is, a politics that can incorporate the micropractices and microobjectives of people's daily lives as well as their political passions. The possibility of thinner transnational identities emerging as a consequence of this thickness of micropolitics raises interesting theoretical questions. And it matters for strengthening global politics, even as the risk of nationalisms and fundamentalism is clearly present in these dynamics as well.

The types of political practice discussed here do not form the cosmopolitan route to the global.¹⁸ They are global through the knowing multiplication of local practices. These are types of sociability and struggle deeply embedded in people's actions and activities. They are also forms of institution-building work with a global scope that can come from localities and networks of localities with limited resources and from informal social actors. They do not have to become cosmopolitan in this process; they may well remain domestic and particularistic in their orientation and remain engaged with their households and local community struggles, yet they are participating in emergent global politics.

Chapter Eight

EMERGENT GLOBAL FORMATIONS AND RESEARCH AGENDAS

THE SUBJECT OF THIS BOOK is history in the making. The effort in each chapter was to detect shapes and construct objects of study around what is ultimately a roving animal moving with increasing vigor and velocity. In this chapter, I want to explore what we might think of as extreme instances of emergent global formations that capture some of the trends discussed thus far.

If there is one theme that captures aspects of all I have discussed, it is the notion of borders. Thus the first section of this chapter disaggregates the institution of the border into its multiple components in order to capture the often-sharp repositioning and redeployment of some of those components. Acute and perhaps extreme novel types of borderings are microenvironments with global span (see Chapter 7), the subject of the second section. Such environments might consist of a household or a firm oriented toward global networks and technologically enabled to reach them. The whole question of context and surroundings as part of the locality is profoundly unsettled in this case. I conclude with the elements for a sociology of digital space. The focus is on electronic interactive domains—including formations as diverse as markets and activist networks—and the socialities they are constituting. Much social science concerns the technology and the social psychology

10. It is quite possible that globalization may have the effect of blurring the boundaries between these two regulatory worlds.

11. I am trying to distinguish these current forms from older notions of the state as a tool for capital, such as comprador bourgeoisies, or neocolonialism. Furthermore, there are important parallels in this research with scholarship focused on the work of the state in producing the distinction between private and public law (see Curler 2002) and with scholarship on the work of the state in setting up the various legal and administrative frameworks that gave the modern state its shape (see for example, Novak 1996, Clemens 1997, for a review of the case of the United States).

12. I use the term *convergence* for expediency. In the larger project, I posit that conceptualizing these outcomes as convergence is actually problematic and often incorrect. Rather than a dynamic whereby individual states wind up converging, what is at work is a global dynamic that gets filtered through the specifics of each “participating” state. Hence what is of central concern is not so much the outcome—convergence—as the work of producing the outcome.

13. I examine these two issues in greater detail elsewhere (Sassen 2006a, chaps. 8 and 9).

14. This section consists of the revised text of the Keck Lecture, delivered at Amherst College, Amherst, Mass., on February 13, 2000, and is based on a larger project (Sassen 2006a).

15. What constitutes the Internet is continuously changing (World Information Order 2002; Dean et al. 2006). Some years ago it could still be described as a network of computer networks using a common communications protocol (Internet protocol). Today networks using other communications protocols are also connected to other networks via gateways. Furthermore, the Internet is not constituted only by computers connected to other computers; point-of-sale terminals, cameras, robots, telescopes, cellular phones, TV sets, and an assortment of other hardware components are also connected to the Internet.

16. Federal Networking Council, “FNC Resolution: Definition of ‘Internet,’ ” National Coordinating Office for Networking and Information Research and Development, http://www.nitrd.gov/fnc/Internet_res.html.

17. The U.S. government’s power to engage in multiple forms of surveillance, including surveillance of corporations in countries run by governments that are strong and long-term allies, was illustrated by the U.S. government’s alleged use of its Echelon surveillance system to spy on European corporations (World Information Network 2002, chap. 6).

18. Lessig (1999) labels the architecture of the Internet “code,” by which he means the software and hardware that constitute it and determine how people interact or exist in its space.

19. Elsewhere I have made a similar argument using the notion of the emergence of cybersegmentations (see Sassen 1999b).

20. This centrally managed function of the Internet involves the control and assignment of the numbers that computers need to locate an address. It therefore can instruct all the top “root servers” of the Net—the computers that execute address inquiries—so that they will accept those instructions. This function is clearly a power of sorts. As is well-known, the particular function of assigning addresses is crucial and was for many years under the informal control of one particular scientist, who named this function the Internet Assigned Numbers Authority. More generally, the scientists who labored to make the Net workable and had to reach many agreements on a broad range of technical matters, have long been a sort of informal central authority. In most other cultural settings they probably would have become a formal, recognizable body—with, one might add, considerable power. There is an interesting sociology here.

21. There are also more specific issues that may affect the regulation of particular forms of digital activity through a focus on infrastructure. Different types of infrastructure exist for different types of digital activities—for instance, those for financial markets and those for consumer wireless phones. The regulatory potential of such diverse infrastructures also varies.

22. With the growth of business interest in the Internet in the mid-1990s, the de facto authority of the pioneers and their logic for assigning addresses began to be criticized. To cite a familiar case, firms found that their names had already been assigned to other parties and that there was little they could do about it; the idea of brand names and intellectual property rights to a name was not part of the early Internet culture.

23. Since October 2000, the board of ICANN has been the final decision-making authority on standards. But a complex and changing web of organizations is actually involved in various aspects of the operation of the Internet. The Internet Society and its subsidiary organizations—the Internet Architecture Board, the Internet Engineering Steering Group, the Internet Engineering Task Force, and the Internet Research Task Force—are responsible for the development of communications and operational standards and protocols that allow users to communicate with one another on the Net. The Internet Societal Task Force is responsible for naming Internet policy issues. The copyright on the protocols is held by the Internet Society. Other organizations, such as the World Wide Web Consortium, specialize in the development of standards for certain services of the Net.

24. The U.S. government’s “Framework for Global Electronic Commerce,” an early blueprint for Internet governance, argued that because of the Internet’s global reach and evolving technology, regulation should be kept to a minimum. It also suggested that in the few areas in which rules are needed, such as privacy and taxation, policy should be made by

quasi-governmental bodies such as the World Intellectual Property Organization (WIPO) or the Organisation for Economic Co-operation and Development. One of the issues with this type of proposal is the absence of transparency and the problems that brings with it. These problems became evident in one of the first big Net policy dilemmas: cybersquatting (private speculators' seizing valuable corporate brand names on the Internet and selling them, at an enormous price, to the firms those names belonged to). Net addresses are important for establishing an identity online. So companies want to establish a rule that they are entitled to any domain names using their trademarks. But the Net is used for more purposes than e-commerce, so consumer advocates say this rule would unfairly restrict the rights of schools, museums, political parties, and other noncommercial Net users. In the deliberations that have taken place at WIPO, however, in meetings usually held behind doors, it is mostly the large firms who are participating. This course of events privatizes the effort to design regulations for the Net.

25. See, for example, Lovink and Schultz (1997) for summaries of the debates.

26. The distinctions noted here partly follow Pare's classification and research on the subject (2003, chap. 3). See also Drake and Williams 2006; Mueller 2004.

27. Pare (2003) calls for and develops another kind of approach in the study of these questions of governance and coordination. He argues that an emphasis on end results and optimal governance strategies, which is typical of the work of the authors briefly discussed here, produces analytic blind spots. A crucial issue is the need to understand the dynamic relationship between the institutional forms delivering technology and the network structures that emerge over time. See also Lessig (1999), Mueller 2004, and Latham and Sassen (2005).

28. Retail investment and stock trading use the Internet. So does direct online investment, which is mostly retail and represents a minor share of the overall global financial market. Even factoring in its expected tripling in value over the next three or four years will not give it the type of power characterizing the wholesale global financial market I am discussing here.

29. For instance, after Mexico's financial crisis and before the first signs of a crisis in Asia, the leading financial services firms negotiated a large number of very innovative deals that contributed to the further expansion of volume in the financial markets and to the incorporation of new sources of profit, thereby ensuring liquidity even in a situation of at least partial crisis. Typically, these deals involved novel concepts of how to sell debt and what to consider a salable debt—they made acceptable what had been unacceptable.

30. The foreign exchange market was the first one to globalize, in the mid-1970s. Today it is the biggest and in many ways the only truly global market. It has gone from a daily turnover rate of about \$15 billion in the 1970s to \$60 billion in the early 1980s and an es-

timated \$1.3 trillion in 1999 and in 2004. In contrast, the total foreign currency reserves of the rich industrial countries at the end of the 1990s amounted to about \$1 trillion.

31. For extensive evidence on the issues discussed in this section, see Sassen (2001, chaps. 3, 4, and 7). For a different perspective on some of the issues concerning global finance, see also Datz 2007, Garrett (1998), and Eichengreen (2003).

32. According to some estimates, we have reached only the midpoint of a fifty-year process in terms of the full integration of these markets. Given the growth dynamics made possible by digitization, this estimate signals that financial markets could expand even further in relation to the size of other components, such as direct investment and trade.

33. I try to capture this normative transformation in the notion of the privatizing of certain capacities for making norms that in the recent history of states under the rule of law were in the public domain. (I am not concerned here with cases such as the Catholic Church, which has long had what could be described as private norm-making capacities but is of course a non-state institution, or is meant to be.) Today, what are actually elements of a private logic emerge as public norms even though they represent particular rather than public interests. This is not a new occurrence in itself for national states under the rule of law; what is perhaps different is the extent to which the interests involved are global (for a fuller discussion, see Sassen 2006a, chap. 5).

34. A particular feature that matters for my current research on denationalization is the fact that many states—or, more precisely, specific agencies and departments within states—have participated in the formation and implementation of these conditions and rules.

35. Since the Southeast Asian financial crisis, there has been a revision of some of the specifics of these standards. For instance, exchange-rate parity is now posited in less strict terms. The crisis in Argentina that began in December 2001 has raised further questions about aspects of IMF conditionality. But neither crisis has eliminated that conditionality.

36. For instance, the growth of electronic trading and electronic network alliances among major financial centers is allowing us to see the particular way in which digitized markets are partially embedded in these vast concentrations of material resources and human talent represented by financial centers (see Sassen 2001, chaps. 4, 5, and 7, 2006a, chap. 5).

CHAPTER 4 THE GLOBAL CITY: RECOVERING PLACE AND SOCIAL PRACTICES

1. I have theorized this in terms of the network of global cities, where those cities are partly a function of that network. For example, the growth of the financial centers in New York and London is fed by what flows through the worldwide network of financial centers.